



AGENTS OF PROSPERITY

AGSTAR PLC
ANNUAL REPORT
2020/21



AGENTS OF PROSPERITY

At AgStar we are agents of prosperity - inspiring true transformation and progressive thinking through world-class agricultural products and technologies. Driven by unparalleled expertise and experience in the agriculture sector, over the years we have partnered with farming communities across the island to support their livelihoods, while empowering their hopes and endeavours.

The pages that follow record the excellent performance which all our subsidiaries achieved regardless of a pandemic that continued to debilitate our potential, capabilities and the agriculture sector immensely. As we considered this period as a time to grow and adapt to challenges and change alike, your company emerged as a resilient and vibrant entity - showcasing our true potential through diversifying our offering to every stakeholder.

Today it is apparent that our wide-ranging portfolio not only extends itself to provide high quality products and services, but to increase productivity by initiating the need to sustain the farming communities and the planet. As we conclude this year on a hopeful and positive note, we pay tribute to our strategies, technologies, initiatives and people who have inspired innovation and growth as we journey across challenging terrains to share prosperity with the entire nation.





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online at www.agstaragri.lk

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VISION

To be the preferred choice for agri inputs, agri products and related services

MISSION

To foster growth and prosperity in agriculture by providing superior quality products and services

FINANCIAL HIGHLIGHTS

Year ended 31st March		2021	2020	Change
OPERATING RESULTS				
Group revenue (continuing operations)	(Rs'000)	3,611,145	1,734,841	108%
Gross profit (continuing operations)	(Rs'000)	1,004,202	723,261	39%
Net finance costs (continuing operations)	(Rs'000)	(34,880)	(54,327)	36%
Profit before tax (continuing operations)	(Rs'000)	576,453	205,496	181%
Profit for the year (continuing operations)	(Rs'000)	492,375	141,519	248%
Profit for the year (continuing & discontinued operations)	(Rs'000)	475,131	137,989	244%
Profit attributable to owners of the company	(Rs'000)	476,259	137,989	245%
Profit attributable to non-controlling interests	(Rs'000)	(1,128)	-	100%
FINANCIAL POSITION				
Stated capital	(Rs'000)	1,204,094	1,204,094	0%
Non-controlling interests	(Rs'000)	42,698	-	100%
Property, plant & equipment (continuing operations)	(Rs'000)	2,403,080	1,650,869	46%
Current assets	(Rs'000)	5,919,747	4,178,891	42%
Total assets	(Rs'000)	8,449,778	5,909,354	43%
Non-current liabilities	(Rs'000)	448,483	379,366	18%
Current liabilities	(Rs'000)	4,312,671	2,505,330	72%
Total equity	(Rs'000)	3,688,625	3,024,658	22%
FINANCIAL INDICATORS				
Earnings per share	(Rs)	1.47	0.42	245%
Dividend per share paid during the year	(Rs)	-	0.20	-100%
Dividend per share proposed	(Rs)	0.20	-	100%
Dividend payout proposed	(%)	13.65	-	0%
Net assets per share	(Rs)	11.22	9.31	21%
Return on equity	(%)	13.06	4.56	186%
Return on total assets	(%)	5.62	2.34	141%
Gross profit ratio	(%)	27.81	41.69	-33%
Net profit ratio (continuing operations)	(%)	13.63	8.16	67%
Current ratio	(Times)	1.37	1.67	-17.7%
Liquidity ratio	(Times)	1.17	1.52	-23%

475Mn

➤ Net Profit after Tax

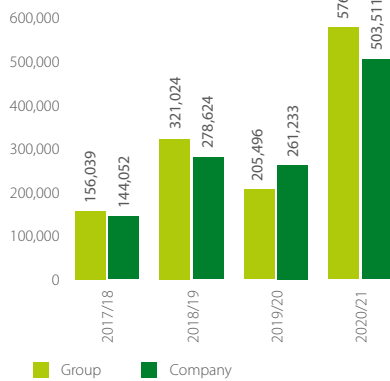
3,611Mn

➤ Gross Revenue

8,450Mn

➤ Total Assets

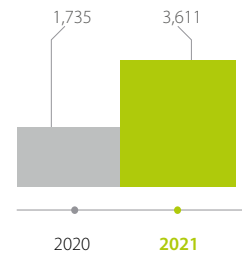
Profit Before Tax (Continuing Operations) (Rs.000)



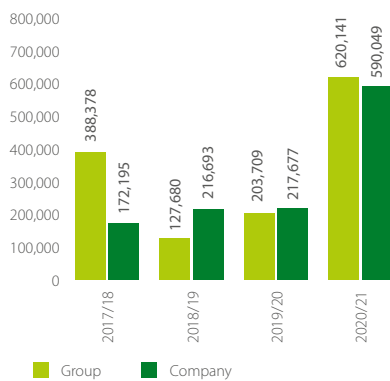
Net Assets (Rs.000)



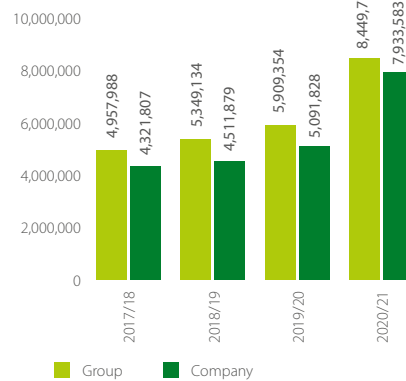
Total Revenue (Rs. Mn)



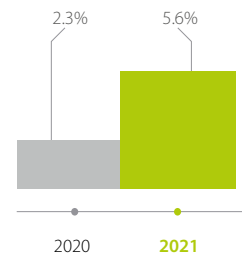
Total Comprehensive Income (Rs.000)



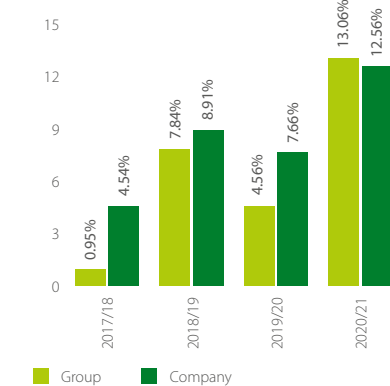
Total Assets (Rs.000)



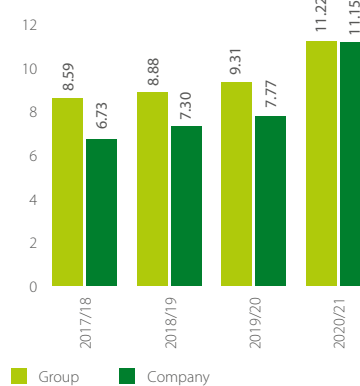
Return on Total Assets (%)



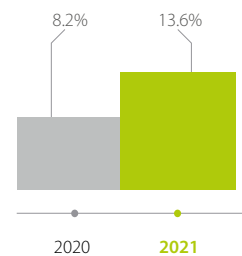
Return on Equity (%)



Net Assets per Share (Rs.)



Net Profit Ratio (%)



CHAIRMAN'S MESSAGE



“

I am proud to report that amidst the uncertainty and disruption that characterised the year under consideration, the AgStar PLC Group delivered strong financial results.”

I am pleased to welcome you to the Nineteenth Annual General Meeting of AgStar PLC and to place before you the Annual Report and Audited Financial Statements for the year ended 31st March 2021. The year gone by has been challenging on many fronts, with the global pandemic affecting lives and livelihoods on an unprecedented scale. On a more positive note, I am proud to report that amidst the uncertainty and disruption that characterised the year under consideration, the AgStar PLC Group delivered strong financial results. Over the last couple of years, we have modified our approach to the business, taking on the mantle of being 'Agents of Prosperity', as this year's annual report theme depicts, partnering the farming community and corporate sector to better yields, sustainable farming practices and wealth creation.

Financial and Operational Performance

I would like to bring to your notice that the AgStar PLC Group achieved growth in profitability of 244% from Rs. 138 Mn in the preceding year to Rs. 475 Mn in the current financial year with a robust contribution from fertilizers, crop care and vegetable seeds business. The easing of fertilizer quota restrictions during the year under review enabled the Company to maximize profits in the fertilizer segment while enhanced cultivation and agricultural activities witnessed an increase of 108% in Group Turnover from Rs. 1,735 Mn in 2019/20 to Rs. 3,611 Mn in 2020/21. Meanwhile, the AgStar PLC Company posted its best-ever year, marking a turnover of Rs. 2,895 Mn in 2020/21 from Rs. 1,268 Mn in the previous year. Profit After Tax reached Rs. 455 Mn from Rs. 193 Mn in the previous year, reflecting a 135% increase.

On account of the substantial profitability during the financial year 2020/21,

19 Years
of Existence

550
Distributors

179
Staff Strength

the Board of Directors decided to declare a dividend payout of Rs. 0.20 per share for the valued shareholders of AgStar PLC to their unstinted support and corporation. We remain committed to delivering sustainable growth and value creation for both the shareholders and stakeholders.

The salient reasons for the notable Group performance were sustainable sales strategies such as knowledge sharing, cost optimization, restructuring of the sales teams to ensure greater market penetration and a comprehensive product portfolio that offers customers every product and service needed along the value chain in the agricultural sector. The AgStar brand not only achieved robust profitability but also able to carve out a larger share of the market and expand its brand presence across the Island.

The subsidy payments of Rs. 1.7 Bn overdue to the Company from the government remains outstanding while hoping for an early settlement during the 2021/22 financial year as we continue to incur a high interest on the amount.

102,549 Mt

Fertilizer Sales

Largely favourable weather conditions contributed to the growth of the agriculture sector and AgStar PLC leveraged on the conducive climate to partner the agri sector by way of high quality and high yielding seeds and chemical and organic fertilizers while sharing knowledge and technical inputs with farmers to boost their productivity and yields from their lands. The company expansion into agri-tech further strengthened the relationship with the farmers as they can now look to the trusted AgStar brand to provide them with next generation technology to deliver cost savings and efficiency through automation.

Economic and Social Governance

The AgStar PLC Group's commitment to sustainable operations is reflected in our approach to drive higher prosperity for farmers and help them raise both productivity and yield. I am proud of the fact that the Company is pushing into organic fertilizer and home-grown seed production to reduce reliance on imports in the long-term. In addition, several locations are now generating solar energy from rooftop solar plants, thereby making a contribution to the national grid. As a responsible corporate citizen, AgStar PLC complies with the highest governance standards and our eminent members of the board and senior management are the strength of our commitment towards this goal.

Future Prospects

The government's recent decision to ban chemical fertilizer and agrochemicals will serve a heavy blow to the sustainability of

CHAIRMAN'S MESSAGE

“

Over the last couple of years, we have modified our approach to the business, taking on the mantle of being 'Agents of Prosperity' ”

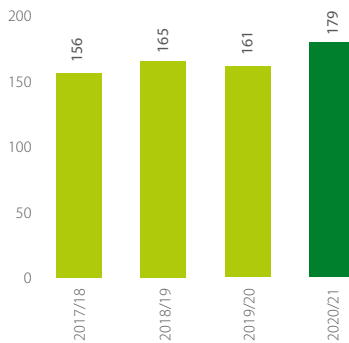


the agricultural sector. While the intentions are notable, the shift to organic cannot happen overnight as currently only one percent of the sector uses organic fertilizers. We recommend a more phased approach

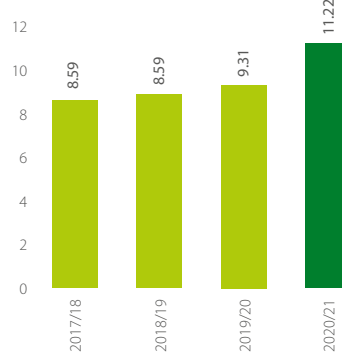
which will not only retain the balance in the sector but will also allow all stakeholders to develop strategies to mitigate the ban. We sincerely hope the government reconsiders its ban and reverses its decision.

I am pleased to announce that we have acquired a new tea company with a majority stake in order to diversify the product portfolio and we expect to foray into tea exports in the near future.

Staff Strength (Nos)



Net Asset per Share (Rs.)



In order to facilitate this bold new outlook for the AgStar PLC Group we have brought in the best talent and the sharpest minds with experience in the business and together we expect to bring the AgStar PLC Group to its next level of growth.

Acknowledgements

I take this opportunity to thank Directors on the Board for their guidance and support. The Managing Director and the senior management and staff have worked tirelessly to drive the financial profitability recorded by the Group during the year under review.

Our shareholders and stakeholders, including customers, suppliers, bankers and business partners deserve our gratitude for their continued support.

D. N. N. LOKUGE
Chairman

02 June 2021

MANAGING DIRECTOR'S REVIEW

“

Apart from our focus on achieving outstanding profitability and growth, the Company is also forging ahead in greening its footprint by investing in green energy.”



The COVID-19 global pandemic made its presence felt in Sri Lanka in the last quarter of the previous year, going on to gather pace through the rest of 2020/21 and wreak havoc in terms of rising cases and economic slowdown, impacting lives and livelihoods due to lockdowns, mobility restrictions, drop in tourism and import restrictions as GDP contracted by 3.6% during the year. While most sectors experienced a slowdown, agriculture and related sectors were the only ones that continued operating through the year, and supported by favourable weather conditions for both planting seasons and sufficient land extents being cultivated, delivered a strong performance to support the nation. With a large proportion of the population engaged in some form of agricultural activity, the robust performance of this sector was essential to support livelihoods and ensure food security. I am pleased to share with you AgStar PLC's outstanding performance during the year under review.

Financial Performance

Group Turnover rose from Rs. 1,735 Mn in 2019/20 to Rs. 3,611 in 2020/21, reflecting a sharp 108% increase. Meanwhile, operating profit which recorded Rs. 260 Mn in the preceding year grew to Rs. 611 Mn in the year under review, which is a 135% increase. Group profitability soared during the period under review to reach Rs. 475 Mn from Rs. 138 Mn in the preceding year, marking a phenomenal growth of 244%. The financial year under review was an exceptional one for the Group as it was testimony to the fact that given the right operating conditions, the AgStar PLC Group would prosper on account of its brand reputation, deep expertise and diversified presence in the agri business.

At the company level, AgStar PLC recorded a turnover of Rs. 2,895 Mn from Rs. 1,268 Mn, marking an increase of 128%. Operating profit rose from Rs. 314 Mn in 2019/20 to reach

1.8 Bn Properties

214 Mn Machineries

Rs. 531 Mn, marking a 69% spike while Profit After Tax reached Rs. 455 Mn from Rs. 193 Mn in the previous year, reflecting a 135% rise.

Fertilizer

As the mainstay of the company, the fertilizer business unit has severely underperformed over the years due to adverse weather, over-regulation and ad hoc policy changes. However, the year under review proved to be a breakout one for this area of the business as AgStar recorded 102,549 MT of sales volumes, which is essentially a 71% increase over the previous year. This makes it the highest quantity of fertilizer ever sold in the history of its operations mainly due to the government allocating more quota than usual.

The corporate sector segment of the business performed strongly during the year as plantations and estates were allowed to operate through the year without being affected by lockdowns. As a result, AgStar PLC sold 58% more fertilizer to the tea plantation sector and recorded 87% more sales in the coconut estate sector. Overall sales volumes of fertilizer grew by as much as 71%.

The Company is still to receive relief by way of being paid Rs. 1.7 Bn in subsidy payments which is well overdue from the government, leading to an accumulation of Rs. 86 Mn as interest cost to the company. We sincerely hope the authorities consider our plight of having to incur high interest costs and clear the dues within the 2021/22 financial year without any further delays.

The fertilizer industry has always come into some sort of controversy under various governments and the latest decision by authorities to ban all chemical fertilizers with immediate effect poses a serious risk to the yield and productivity of cultivated lands, as also to the livelihoods of farmers and agri companies. Fertilizer is the company's main business line and the chemical fertilizer ban will serve to deal a heavy blow to the Company's profitability.

However, AgStar's futuristic outlook had already led it to collaborate with local organic/compost fertilizer manufacturers in order to mitigate the impact of the chemical fertilizer ban. This initiative also reflects the Company's sustainability focus. From an industry point of view, it is hoped that the government will realize the adverse effect that the ban will have on the agriculture sector and thereby on the economy and will take the necessary steps to reverse the ban.

As the third-largest company in the fertilizer business and market leader in the corporate estate sector, AgStar PLC has delayed investing in innovating organic fertilizers for some time due to instability in government policy decisions. Going ahead, greater investment will be channelled into innovating organic products to minimize the impact on the Company's fertilizer and crop care business.

Crop Care

This segment of the business witnessed a strong growth in turnover which indicates a 75% increase over the previous year. Meanwhile, Profit After Tax grew by 107%. The overall increase in turnover was recorded due to an increase in sales and the addition of new products to the portfolio. During the year under review, we added 3 new weedicides, 2 fungicides, 1 new insecticide and 1 micro fertilizer product, thereby strengthening the portfolio and helping to increase turnover.

MANAGING DIRECTOR'S REVIEW



The exceptional overall financial performance by AgStar PLC given the conducive environmental conditions reflects the strong growth potential of the organisation...”

Going ahead, this area of the business will experience a challenge due to the ban of agrochemical and fertilizers, which will result in the Company being unable to import any of the products we currently sell in the market. In order to mitigate the impact, the Company is currently about to enter into an agreement to supply a liquid organic fertilizer to the Ministry of Agriculture. If this organic product is successful, the Company will be able to mitigate the anticipated losses due to this ban on agrochemicals.

SEEDS BUSINESS

AgStar Seeds

The Company recorded a 23% increase in turnover and a 90% decline in profit after tax compared to the previous year. The main reason for the negativity is the rise in paddy prices which resulted in farmers selling seed paddy as commercial paddy without going through the processing stage that AgStar offers as a result of which the Company was unable to secure the seed paddy quantities needed for processing. Maize seeds saw an increase in sales by 229% in the year under review.

On a positive note, almost at year-end we secured the exclusive dealership of a Japanese Company, Tohoku Seed. Overall,

10 new products will be included to the portfolio including Pak Choi, chinese cabbage, carrot, okra, eggplant, bell pepper, tomato, ridge gourd and bitter gourd seeds. A bulk of the Company's portfolio consists of hybrid seeds however, due to the chemical fertilizer ban, farmers cultivating with hybrid seeds will find it hard to get the high yield they are presently getting, as hybrid seeds require high nutrients for optimum yield.

Prith Seeds

The Company's turnover grew by 86% and Profit after tax rose by 117% compared to the year 2019/20. Sales of vegetable seeds doubled - recording 104% growth over the previous year. Within this year, three products – okra, hybrid chili and watermelon – were included into the product portfolio and going forward we intend to add tomato and okra. The future will be challenging for this business line in view of sales of hybrid seeds considering the fertilizer ban. However, the Company also has open pollinated seed range in its portfolio and should find it easy to move hybrid seed customers to shift to open pollinated seeds if the need arises.

Agri Equipment

Although the year under review was the first full year of operations for this business unit,

due to the nature of the economy the Company was unable to capitalize on its product portfolio. Nevertheless, the Company made a good initial net profit. The product portfolio includes tractors, rotavators and harvesters. Next generation technology harvesters, seed planters and advanced sprayers were also included in the portfolio during the year. Given the present labour shortage in the sector, these machineries will prove useful and we have confidence that the sector will do well.

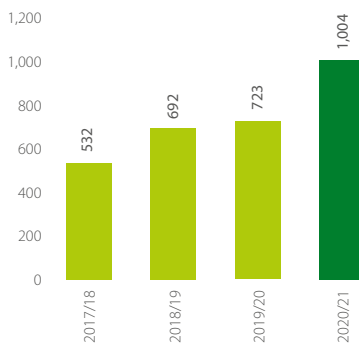
Exports

The Company's exports of cinnamon and spices were sustained but unable to grow due to the economic slowdown in export markets. Its other business line of supplying sugar sachets to the tourism sector was badly impacted, although in the second half of the year there was a slight uptick in demand from hotels being used as quarantine centres. In an effort to mitigate losses, the Company sent out containers of fresh fruits and vegetables to Dubai.

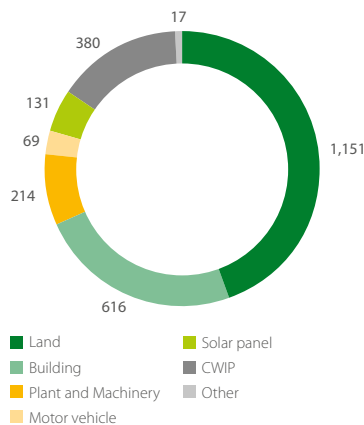
Tea

Diversifying further, AgStar PLC acquired a new company called Euro Asia Tea with majority ownership, which is fully equipped to cater to all types of tea packaging.

Group Gross Profit (Rs. Mn)



Group Assets (Rs. Mn)



The Company has already secured customers from Poland, Latvia, Israel and Azerbaijan. Tea prices and demand have risen this year as tea production has been impacted by the pandemic. The focus right now is to secure internationally recognized quality certifications which will boost exports to markets such as Europe, Middle East, China, Australia, New Zealand and the US. I am pleased to state that the operation is being headed by veterans from the tea industry who hold unique insights into the business and who have joined this exciting new venture.

Future

The exceptional overall financial performance by AgStar PLC given the conducive environmental conditions reflects the strong growth potential of the organisation and its ability to capitalize on emerging opportunities despite unfavourable external operating conditions. The Company hopes to consolidate this profitability achieved during the year, although it anticipates severe challenges from the fertilizer and agrochemical ban announced by the government. This ruling will not only impact the bottom-line of the Company but will also have a devastating impact on yields for farmers and affect their incomes and that of the overall agriculture sector.

The Company anticipates the 83,000 square foot warehouse and 10,880 square feet office building which are in the final stages of construction and expected to become operational by the end of 2021. The AgStar Properties (Pvt) Ltd was amalgamated with AgStar PLC in October 2020 as a result it is no longer a separate entity.

Apart from our focus on achieving outstanding profitability and growth, the Company is also forging ahead in greening its footprint by investing in green energy. AgStar PLC has invested Rs. 133 Mn to convert its Anuradhapura, Dambulla, Polonnaruwa and Dehiyattakandiya locations into rooftop solar energy generators - contributing 1.29 MW to the national grid. The Ekala location will also be converted into solar rooftop solar power to generate 2 MW of power in the future.

Appreciation

I would like to take this opportunity to thank the Chairman and the Board of Directors for their guidance and support through a challenging year. The dedication demonstrated by the entire team has been the most critical contribution to our success.

I am proud to witness growth on all fronts as envisaged and hope to continue with the same momentum in the future.

I would also like to thank our valued shareholders for their unstinted support. We are pleased to take along our other stakeholders - suppliers, partners and customers - in our journey as Agents of Prosperity.

A. P. WEERASEKERA
Managing Director

02 June 2021

BOARD OF DIRECTORS



Left to Right

Mr. D. N. N. Lokuge
Chairman

Mr. W. A. P. Perera
Non-Executive Director

Mr. A. P. Weerasekera
Managing Director



Mrs. S. N. Wickramasinghe
Independent and Non-Executive
Director



Mr. D. S. K. Amarasekera
Non-Executive Director



Mr. R. K. A Ranaweera
Independent and Non-Executive
Director

Absent
Dr. (Mrs.) A. D. Nandanie de Zoysa
Independent and Non-Executive Director

BOARD OF DIRECTORS' PROFILES

MR. D. N. N. LOKUGE

Non-Executive Chairman

Mr. Nimal Lokuge is a Founder Director of AgStar PLC and functions as the Chairman of the Company. He was also a Founder Director of Sierra Construction (Pvt) Ltd with 30 years of experience in the construction industry. He is a Director of a number of Sierra Group Companies.

MR. W. A. P. PERERA

Non-Executive Director

Mr. W. A. P. Perera is a founder Director of AgStar Fertilizers PLC and serves as the Chairman of Sierra Cables PLC and a founder Director of Sierra Holdings (Pvt) Ltd and Sierra Construction (Pvt) Ltd. He has over 35 years' experience in the Engineering and Construction industry.

MR. A. P. WEERASEKERA

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants, United Kingdom and has over 25 years of industry experience having started his career in 1988. He has been a founder Director of AgStar PLC, initially functioning as Head of Finance and thereafter as the Chief Operating Officer. He has contributed significantly to the Company becoming a viable business entity.

Mr. Weerasekera previously was at CIC Agri Business having joined the company in 1993. He was the Finance Manager of CIC and gained a wide experience in the management of agro business related activities. Mr. Weerasekera is also the Managing Director of AgStar group subsidiaries and Sapase (Pvt) Ltd.

MRS. S. N. WICKRAMASINGHE

Independent and Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K. She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director - Sri Lanka Banks' Association (Guarantee) Ltd. She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Pvt) Ltd which is an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC, and Head of the Credit Counselling Centre.

MR. D. S. K. AMARASEKERA

Non-Executive Director

Mr. Kamantha Amarasekera is an eminent tax consultant and the Senior Tax and Legal Partner of Amarasekera & Company - a leading tax consultancy firm in the country. He is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney at Law of the Supreme Court of Sri Lanka. He graduated in Business Administration from the University of Sri Jayawardenapura.

MR. R. K. A. RANAWEERA

Independent and Non-Executive Director

Mr. Athula Ranaweera is a fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka and holds an Honors degree in Business Administration from the University of Sri Jayawardenapura. He is the Managing

Partner of Ranaweera Associates (Chartered Accountants) and also the Managing Director of Assent Advisory Partners (Pvt) Ltd. He counts over 40 years' experience in Auditing, Financial Reporting and Taxation.

In addition, he is an Independent and Non-Executive Director of Agalawatte Plantations PLC and act as a member of the Finance Committee and chairs the Audit Committee of the same.

MRS. SUNJEEVANI KOTAKADENIYA

Alternative Director to Mr. K. Amarasekera *(Ceased to be a Director w.e.f.26.01.2021)*

Mrs. Kotakadeniya is the Chief Financial Officer of LOLC Group and counts thirty years of experience in financial management, general management, treasury management and corporate planning in multiple industries. Her exposure to financial services spans across finance, insurance, leasing, factoring, fund management, unit trusts and stock broking companies. Her non-financial services experience covers the sectors of leisure, agriculture and plantations, trading, construction and renewable energy. She has been involved in several strategic mergers and acquisitions, business transformation, new business set up and has been a proponent of change management and steering change management initiatives.

She is a Director of several companies in the LOLC Group including Browns Hotels and Resorts Ltd. and its subsidiaries, Browns Capital PLC and its subsidiaries and LOLC Motors Ltd. She was a Member of CIMA Sri Lanka between 2012 and 2015 and a Member of Sri Lanka Accounting Standards Committee, and a Member of the Board of the National Council for Child and Youth Welfare.

**DR. (MRS.) AGAMPODI DAMITHA
NANDANIE DE ZOYSA**

Independent Non-Executive Director

Dr. (Mrs.) de Zoysa has been a member of the Board of AgStar PLC since 28 June 2019. She was the former Secretary to the Ministry of Plantation Industries from 2014 to 2015, the former Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the former Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013, the Director General of the Department of Development Finance of the Ministry of Finance and Planning & the Treasury from 2006 to 2010 and the Director General of the Department of Fiscal Policy of the Ministry of Finance and Planning & the Treasury from 2005 to 2006.

Dr. (Mrs.) de Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics from the Australian National University, Canberra, Australia, M.A. Degree in Economics from the Ohio State University, Columbus, Ohio, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, Columbus, Ohio, USA.

Dr. (Mrs.) de Zoysa currently serves as a Director of Central Finance PLC and has previously served as a Director of DFCC Bank PLC, Lankaputhra Development Bank and Sri Lanka Savings Bank.

LEADERSHIP TEAM



Mr. Daya Jayasekara

Director - Technical



Mr. Athula Gunarathne

Director - Sales and Marketing



Mr. Ruwan Marambage

Director - Crop Care



Mr. Ashan Ratwatte

Director - New Business Development



Mrs. Uma Shanmuganathan

General Manager - Accounts & Administration



Mr. Aruna Kumarasinghe

SBU Head - Agstar Seeds and Prith Seeds



Mr. Lakmal Dasanayake

General Manager - Mahaweli Fertilizer



Mr. Vipula Widyaratne

General Manager - Technical



Mr. Buddika Weerasekera

General Manager - Tea Business



Mr. Dhanushka de Zoysa

Assistant General Manager - Corporate Sales
and Agri - Technologies



Mr. Saman Rajapakshe

Assistant General Manager - Fertilizer



Mr. Sumedha Bandara

Assistant General Manager - Crop Care



Mr. Chandana Udawela

Sales Manager



Mr. Asela Indika

Sales Manager - Vegetable Seeds



Mr. Gayan De Abrew

Manager - Finance



Mr. Lahiru Weerathna

Manager - Financial Controls



Mr. Mohamed Rizny

Accountant

MANAGEMENT DISCUSSION & ANALYSIS



Adopting climate smart and sustainable agricultural practices have become imperative to ensure higher incomes for farmers, protect consumers and increase the sustainability of the sector.”

133 Mn

Investments in Solar
Energy

Over 2.2 Bn

Market Capitalization

108% growth

Group Revenue

About Us

One of the market leaders in the importing, blending and marketing of fertilizer products, AgStar PLC offers a range of organic and chemical fertilizers for use in agriculture, horticulture, floriculture, home gardens green houses and also markets tractors and agri machineries. AgStar PLC has subsidiaries in the Fertilizer, Crop care, Seeds and Exports sectors.

Agricultural Sector in 2020/21

Agriculture activities recorded a contraction of 2.4% in 2020 compared to the growth of 1% in 2019, due to a considerable decline in some of the major agricultural activities, including fishing, growing of oleaginous fruits (including coconut), tea, forestry and logging, and animal production. This setback in agricultural activities was largely due to COVID-19 pandemic related disturbances on certain plantations and in fishing activities. However, growing of vegetables, rice, cereals, fruits and spices expanded during the year, positively contributing to the overall agricultural activities while a conducive policy environment, specific actions initiated by the government and favourable weather further helped minimise a downturn as a result of the pandemic.

Vegetable production increased to 1.7 million metric tons in 2020, registering a growth of 13% despite COVID-19 related supply chain interruptions. This was due to 7% increase in production in the 2019/2020 Maha season and a 20.7% growth in the 2020 Yala season. However, there were wide fluctuations in vegetable prices throughout the year owing to supply chain disruptions caused by COVID-19 related lockdowns and mobility restrictions.

Paddy production, which recorded a bumper harvest in 2019 further increased by 11.5% to 5.1 million metric tons in 2020. The production in the 2019/2020 Maha season, which accounted for around 62% of total annual production, increased by 4.0%, while paddy output in the 2020 Yala season recorded an increase of 26.6%. Government intervention in the form of guaranteed paddy purchasing price and the provision of free fertilizer for paddy cultivation contributed to significant improvement in production in 2020. Paddy prices in the open market remained elevated during 2020 compared to the preceding year, despite the increase in production in 2019 as well as in 2020.



Improving storage and distribution, optimal usage of agricultural inputs such as fertilizer and pesticides, and adopting climate smart and sustainable agricultural practices have become imperative to ensure higher incomes for farmers, protect consumers and increase the sustainability of the sector.

Fertilizer

After years of external challenges in the fertilizer business, the Company was able to achieve record sales volume and turnover growth in 2020/21, backed by favourable weather conditions. As a result, the Company was successful in carving out a 17% share of the total market which marks an increase of around 71% compared to the

preceding year. Despite the setbacks caused by the pandemic, AgStar's new approach to the business as 'Agents of Prosperity' - advising farmers on the importance of adopting good agronomic practices and a holistic approach on how to increase yields and profitability from farming without merely marketing products - proved to be a game-changer during the year.

The Company consolidated its leadership in the corporate segment by growing revenue from both the tea estate and coconut segment by 58% and 87% respectively, whilst marking an overall growth of 71% in the fertilizer business over the previous year.

The Government's decision to ban agro chemical fertilizers will have an adverse impact on the Company, as fertilizers are its mainstay. However, work that commenced two years ago on an organic fertilizer project, which is in the trial stage with the Department of Agriculture at this point will certainly provide a head-start for the Company in this new era.

The Company is yet to receive relief by way of Rs. 1.7 Bn in subsidy payments which is well overdue from the government, leading to accumulation of Rs. 86 Mn as interest cost to the company. Going ahead, the Company plans to put a greater emphasis on organic fertilizers.

MANAGEMENT DISCUSSION & ANALYSIS

Crop Care

Extending the Company's strong performance in the fertilizer segment, the Crop Care segment of the business too performed robustly during the period under review, experiencing volume growth in the weedicide, insecticide and fungicide categories. The granular as well as water soluble crop care products showed a slight uptick in demand in vegetable and paddy farming, which bodes well for future prospects.

The product range aimed at home gardens also saw an upsurge during the lockdown months of April, May and June, when there was a greater interest in small scale cultivation. The portfolio of micro nutrient supplements for paddy, maize and vegetable cultivation also showed tremendous growth during this period. A new micronutrient formulation was also introduced for vegetable cultivation.

The Company successfully supported the farming community during the Yala season by providing fertilizers, new supplements and agrochemicals to boost national agricultural output, which is reflected



in the phenomenal growth achieved by the Company in the year under review. The synergy of end-to-end farming and cultivation solutions offered farmers a one-stop shop service especially considering mobility restrictions.



The Crop Care segment showed 75% growth in revenue and an increase in gross profit and profit before tax of 80% and 107% respectively, compared to the previous year, thereby making a major contribution of the Agstar Group.

Organic agriculture has its pros and cons; and even globally, organic farming stands at 1.5% - while in Sri Lanka it is a mere 1%. However, as a responsible corporate citizen, we will comply with government regulations by focusing on organic fertilizers and Bio-pesticides and integrated Pest management solutions.

SEEDS

AgStar Seeds

The year under review was truly an iconic one for the Company's vegetable seeds and maize business and turnover increased by about 23%. It was a disappointing year when it came to seed paddy however, the Company was unable to achieve volumes and sales goals as a result of the high paddy prices that prevailed through the year. Many of the seed paddy farmers sold their paddy directly to the consumption trade without supplying to seed paddy processes.

The high procurement prices made it unfeasible for AgStar to purchase seed paddy from farmers and thereby a conscious decision was taken to hold back from the seed paddy business.





In order to mitigate the impact from a similar situation in the future, the Company has already developed a plan to expand and improve its out-grower programme for next year to ensure it is in a good position to buy seed paddy at the right price at the right time with the right quality.

Meanwhile, the sales of maize seeds recorded the best-ever year by achieving a 229% growth. The Company was able to expand its customer base and penetrate new markets with the new approach of being the Agents of Prosperity for farmers. The value created by the special campaign offering a full package to achieve 4,000 kgs of yield per acre was a huge success.

The Company also restructured its sales processes to optimize costs. The new management approach of knowledge sharing and building partnership with customers went beyond mere sales – thereby helping to achieve phenomenal growth and profitability.

Another masterstroke by the Company was the acquisition of the exclusive dealership of a Japanese Company, Tohoku Seeds, a leader in hybrid vegetable seeds, which helped expand our product range and offering to the market quickly.

AgStar's contribution in promoting and marketing a locally developed MICH Hybrid

chilli breed developed by the Department of Agriculture and grown by local farmers in the Central Province was a moment of pride for the Company. The Company aims to expand its locally produced range of seeds in order to become a significant player in the hybrid seed sector whilst supporting and encouraging local livelihoods.

The strategy going ahead is to expand the Company's influence in partnering the farming community to increase yields and technology inputs and achieving productivity, thereby delivering prosperity to farmers.

Prith Seeds

Prith Seeds' had a phenomenal year of growth in 2020/21 achieving an 86% increase in turnover. Profit after tax rose significantly reflecting a 117% increase. Within this year, three products - okra, hybrid chilli and watermelon - were included into

the product portfolio. Going forward, tomato and another variety of okra F1 will also be included in the portfolio.

The future will be challenging for this business considering the chemical fertilizer ban issued by the government in April 2021. However, the Company has a strong range of open pollinated (OP) seeds in its portfolio which is probably more suitable for organic farming.

Exports

The Company's exports segment suffered during the year due to weak demand and issues in global supply chain and logistics. Further, the inability to travel to trade fairs hampered the ability to secure new orders, although the cinnamon and spice exports volumes to the US were maintained. Nevertheless, the Company continued to scout for new opportunities and succeeded in exporting fresh fruits and vegetables to markets in Dubai.



MANAGEMENT DISCUSSION & ANALYSIS

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AgStar is dedicated to serve the needs of the nation and to help bring new technologies that will transform Sri Lanka's agriculture into a sustainable, high revenue generating, prosperous industry.”



recognized quality certifications which will boost exports to markets such as Europe, Middle East, China, Australia, New Zealand and the US. This operation is being headed by veterans from the tea industry who have joined this exciting new venture with unique insights into the business.



Euro Asia Tea

The exports segment however received a boost with the Company acquiring Euro Asia Tea, which has a state-of-the-art tea facility fully equipped to cater to variety of tea bags, sachets, caddies, canisters, gift boxes, carton boxes and bulk packs. The Company has already secured customers from Poland, Latvia, Israel and Azerbaijan.

In order to optimize this venture, AgStar plans to expand export markets while increasing volumes and utilizing resources to give good returns. Tea prices and demand have risen this year as tea production has been impacted by the pandemic. The focus right now is to secure internationally





Agri-Tech

During the first full year of operations for the Agri-tech segment, revenue increased by 538% as the division recorded 95% of its budgeted bottom line. Despite supply chain challenges, the Company successfully expanded its customer base by achieving 85% of the budgeted quantities for the year. Our core supplier was badly impacted by COVID-19 and was unable to supply enough tractors on time to meet the demand. However, by managing stocks, working capital and operational costs, the Company recorded a strong performance.

Moreover, the Company was able to expand its product portfolio in a strategic manner whereby it now offers end-to-end agri-tech solutions for every stage of cultivation. During 2020/21, the Company added new age combined harvesters, rice transplanters, seeders, sprayers and inter-cultivators needed by farmers to complete the entire process. Although the Company commenced this business with only one principal, Kartar brand of tractor from India, it has now expanded its supplier portfolio to China and Europe.

AgStar's promise to offer customers tomorrow's technology today is reflected in the new combined harvester from China, with third generation technology,

a first in Sri Lanka, and which provides multiple benefits to boost operational income. The Company also introduced a smaller Italian origin tractor to meet the needs of niche market that requires light machinery which does not sink in deep fields. The environment-friendly sprayer from Spain saves water and reduces use of agro chemicals by 40%. The Company has carefully selected its solutions serve the different needs of different segments.

Augmenting the agri-tech portfolio further, the Company added construction modifications to its Kartar tractors - enabling the Company to enter a brand new category and a brand new segment.

These modifications will allow construction companies to use it as an alternative solution to some of the industry's more expensive dedicated machines.

AgStar entered the agri-tech market with a strategy to provide customers with state-of-the-art products to meet the need of the hour and ensure that it is supported with reliable superior after sales service.

Agstar is dedicated to serve the needs of the nation and to help bring new technologies that will transform Sri Lanka's agriculture into a sustainable, high revenue generating, prosperous industry.



FINANCIAL REVIEW

Recording an impressive performance in the 2020/21 financial year, Group Turnover increased by 108% from Rs. 1,735 Mn in 2019/20 to Rs. 3,611 Mn, while operational profit increased by 135%, from Rs. 260 Mn in the previous year to Rs. 611 Mn. AgStar Group profitability increased by 244% from Rs. 138 Mn in the previous year to Rs. 475 Mn in the current financial year, with a significant contribution from the fertilizers, crop care, and vegetable seeds businesses.

The company had to pay a high interest cost as a result of the delay in subsidy payment, amounting to approximately Rs. 86 Mn in interest costs accumulated since 2019. Furthermore, the government's subsidy receivable balance increased to Rs. 4 billion at the end of the financial year, of which Rs. 1.7 billion is over the stipulated period.

During 2020/21, the Group's total asset base increased by 43%, and return on assets increased to 5.6%, up from 2.3% the previous year.

Earnings per share increased to Rs. 1.47 from Rs. 0.42 previous year. There were no new share issues during the review period, and the return on shareholders' equity was 13.06%, compared to 4.56% in 2019/20.

Shareholder Information

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Share Prices

During the financial year, the highest share price recorded was Rs. 9.5, while the lowest was Rs. 3. The share price fluctuated significantly during the year under review, ending at Rs. 7 per share on March 31, 2021. The graph table depicts the AgStar share price trends over the course of the year.

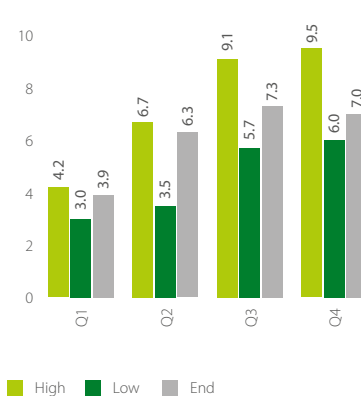
The Interest Cover

The interest cover increased to 9.1 times during the year, up from 2.9 times in 2019/20, due to higher earnings by the group. Furthermore, as a result of the partial settlement of subsidy claims, the company was able to settle a portion of its outstanding loans.

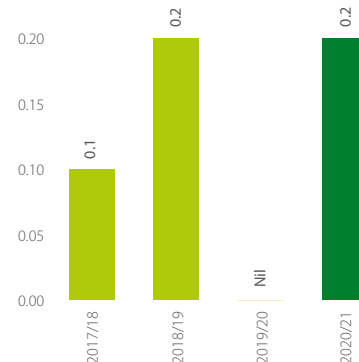
Dividends

The Directors have proposed final dividend payment of Rs. 0.20 per share for the financial year 2020/21.

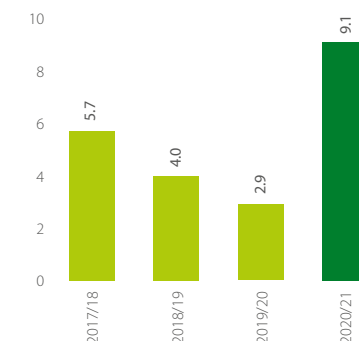
Share price (Rs.)



Dividend per Share (Rs.)



Interest Cover (Times)



SUSTAINABILITY REPORT

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Our approach to sustainability aims to create a better future for stakeholders by generating economic, environmental and social value for both internal and external stakeholders...”



Our Philosophy

AgStar PLC is engaged in the field of agriculture related services and is making a vital contributing to expanding one of the most critical sectors in Sri Lanka. Agriculture and related activities sector generates employment for a vast number of people in the country and the Company's position as an end-to-end agri solutions provider is helping to uplift the industry for future growth. More importantly, we are driving sustainable farming solutions and to raise the benchmarks of the fertilizer industry by foraying into formulating organic fertilisers locally, which are nutritious for the soil and devoid of chemicals – a key focus of the government's move towards sustainable agriculture.

Sustainability is embedded in our strategy, priorities and actions. Our approach is to minimize any negative impacts from our activities. Our approach to sustainability aims to create a better future for stakeholders by generating economic, environmental and social value for both internal stakeholders, such as Employees, and external stakeholders, such as Business Partners, Farmers, Community and Environment

Knowledge sharing and imparting technical inputs are key to the Company's close relationships with farmers to circumvent challenges posed by inclement weather conditions and ad hoc policymaking. By empowering both internal and external stakeholders with the precise technical inputs and eco-friendly products to

enhance food security, AgStar is ensuring a sustainable future for thousands of farmers in Sri Lanka.

Employees

The unfortunate Covid-19 pandemic necessitated that worker health and safety become the number one priority and so the Company implemented the most rigorous protection measures which have proven successful. Since agriculture is classified as an essential service, our operations and sales networks have continued to work at full force, adapting to the new landscape. Hence, the Company was able to make a direct contribution to maintaining agricultural output through the pandemic. Considering the transformation in the industry, AgStar is equipped with the most

SUSTAINABILITY REPORT

dynamic and professional team dedicated to becoming a truly sustainable entity that supports the farmer network of Sri Lanka.

AgStar values and work culture attract the best talent in the industry, inspired by its renewed vision for innovation, technology and its entrepreneurial spirit. The Company continues to invest in its employees to ensure a high performing workforce by having a smooth on-boarding process and thereafter a strategic talent retention strategy that assures them of competitive remuneration and incentives while challenging them to realize their true potential.

Nurturing Employees

The Company follows a transparent recruitment and promotion process which has led to a group of diverse employees that enrich the Company's culture and bring their own interesting viewpoints to the table. AgStar takes pride in being fully compliant with workplace health and safety regulations and requires legal, industry and market requirements pertaining to employee welfare. Employees are briefed about safe use of products and an injury-free workplace is maintained at all times.

AgStar has in place a robust welfare scheme for employees, including allowances for impact from natural disasters; employee weddings or the birth of the first child. The Annual get-together was held at The Palm with 130 participants during the year to facilitate team spirit.

The AgStar culture offers a safe and encouraging workplace where there is mutual trust and respect towards employees. The Company requires all employees to act with honesty and integrity to foster a business environment that protects the rights and interests of all stakeholders. Employees are treated with respect, tolerance, dignity and without prejudice to create a mutually respectful and positive working environment. Though the Company operates in a traditionally male-dominated sector, AgStar is working to improve gender diversity at all levels of our organization.

Knowledge Enhancement

In order to achieve prosperity for the nation's farming community, the most powerful weapon is knowledge and the Company invests in knowledge creation and sharing the latest trends in the industry coupled



with technical knowledge with farmers. Training and development and knowledge enhancement activities are carried out regularly to keep employees updated on the latest advances in the field while also empowering them to counsel and guide farmers. The organization has a combined experience of decades that is now crystallised to drive prosperity for farming community. The Company values long serving staff and during 2020/21, under the welfare scheme, gold coins were gifted to staff completing 10 years of valuable service at AgStar.

The Company is committed to foster an environment that encourages individuals to seek opportunities for professional growth, enrichment and future leadership. During the year under review, a Neuro Linguistic Programming workshop was conducted for self-development and interpersonal skills for managerial level staff. Further, AgStar has migrated to a fully automated HR system and training was provided to all staff to familiarize them with the system as it is paperless.





The company also educates farmers on the correct farming methodology along the entire value chain of cultivation for sustainable profits.

Dealers and Distributors

The Company maintains strong relationships with distributors and regularly encourages them through incentives to drive sales, whilst simultaneously encouraging customers to buy eco-friendly cropcare products to protect the soil and the environment. The AgStar Group has a wide distribution network across the country to ensure easy access to its products. Distributors are educated in product handling and delivery. AgStar is also training their staff on technical aspects of selling their products. Extension officers have been appointed in Anuradhapura, Batticaloa and Polonnaruwa to engage with farmers in addition to the existing dealer network. These officers are equipped with the adequate knowhow to educate farmers in turn.

Customers

AgStar is perceived as a trusted and reliable brand by customers island-wide. The company maintains strict protocol in packaging and distribution of its products

Business Partners

As an Agent of Prosperity, AgStar PLC provides the highest quality of Seeds, Fertilizer and Crop care to the nation's farming community. In order to further benefit its business partners, the AgStar Group invests in research and development to enhance the quality of its products and services in a responsible manner.

Farmers

Farmers form the key stakeholder group amongst the Company's business partners. The AgStar brand of products supports farmers by ensuring its products are of the highest quality. The field staff shares technical knowledge with farmers on how to enhance yields and other crop cultivation methods. Much of its focus is on uplifting farmers to a better quality of life by enhancing productivity and generating higher yields through sound technical advice and high quality agri inputs. The Group also recognizes the generational challenges being faced amongst the farming community and is proactively introducing agri tech wherever possible to attract the younger generation to remain in farming.

A special demonstration and training on proper usage of tractors and machineries was provided to farmers during the year under review by company personnel. In other training outreach, the Company conducted famer pocket training classes; Product launches and induction programs; and door-to-door field visits to resolve challenges faced by farmers and to support them to reap higher yields.



SUSTAINABILITY REPORT

to ensure the customer gets a high quality product every single time. Moreover, the Company encourages customer feedback and suggestions to improve its products and services. Practicing product responsibility, the Company ensures all safety and product use details are clearly displayed on the packaging of its products to ensure the product is used safely and responsibly. Any complaint is redressed immediately through a formal mechanism. AgStar launched its new website during the year under review and activated social media platforms to give greater services to the community. Any inquiries from websites and social media platforms will be answered within minutes.

Community

The local communities are part of the AgStar Group's identity as a trusted brand. The Company earns their confidence by engaging with communities and conducting impactful Corporate Social Responsibility (CSR) projects to create social value. During 2020/21, the Company conducted the GANING (Germinating Agstar Name in New Generation) program for O/L Agri students in the form of an Online Seminar from 5th January 2021, in 8 sessions, covering the syllabus and helping their exam preparation, with the collaboration of Southern Education Institute in Matara. Two experienced teachers conducted the seminar along with the development team. Zonal Education officials and teachers were involved in inviting students to participate. Around 365 students benefited and gained knowledge of the Agriculture subject island-wide. AgStar plans to conduct this program annually for the benefit of the students in O/L classes.

Environment

Demonstrating its concern for the environment, AgStar is mindful about greening its environmental footprint and one of the highlights of its future strategies is to focus on developing eco-friendly crop care products while phasing out the traditional



chemical based counterparts to benefit the environment. The company invests heavily in research and development to ensure the safety and efficacy of its agri inputs. Water and energy consumption and emissions are monitored to remain within acceptable norms. The Group has also forayed into renewable energy by adopting the rooftop solar initiative. The AgStar group invested Rs.133 Mn in renewal energy to generate 1.29 MW power in 4 locations and now supplies to the national grid. As part of our continued efforts to minimize our environmental impact and create a sustainable product portfolio, we have invested in developing green products with local knowhow which is a source of pride for us. AgStar will continue to invest in products and initiatives that provide sustainable solutions to mitigate impact of climate change.

Sustainable Future

The future strategy is to expand the Company's influence in partnering the farming community to increase yields and technology inputs and achieving productivity, thereby delivering prosperity to farmers. Despite the setbacks caused by the pandemic, our new approach to the business is as 'Agents of Prosperity', advising

farmers on technical aspects of cultivation and other aspects without merely marketing products, a strategy that has proved to be successful.

AgStar engaged in promoting and marketing locally developed MICH Hybrid chillie breed developed by the department of Agriculture and grown by local farmers in the Central Province as a moment of pride for the Company. Buoyed by its success, the Company aims to expand its locally produced range of seeds in order to become a significant player in the hybrid seed sector.

AgStar has always been uncompromising on key sustainability issues and has strictly complied with regulatory compliance, health and safety, environment protection and so on, to ensure sustainability of all stakeholders. We will continue to adopt this successful approach while driving greater value creation for all our stakeholders both internal and external. AgStar's end-to-end solutions lend it a competitive position to encourage sustainable practices in our industries and communities. The Company endeavours to be a trusted corporate citizen and maintains strong community ties through social development programs.

CORPORATE GOVERNANCE

General Governance Policy

The concept of corporate governance covers the entire accountability framework of an organization. It encompasses aspects of both corporate and business governance and is based on the premise that a good governance policy alone cannot make an organization successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organization is able to focus on the key drivers of the business. This concept emphasizes the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas. AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

Agstar's Adoption of Corporate Governance

Being a listed company committed to maintain ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance. It

defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled.

Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

Detailed description of the Group results and appropriation is given below.

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	The Board provides the leadership in realizing business objectives, value creation and risk management while promoting a culture of transparency and integrity in carrying out the Company's business functions. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance																																													
		<table><tr><th>Name of Director</th><th>Board Meetings</th><th>Audit Committee Meetings</th><th>Remuneration Committee Meetings</th><th>Related Party Transactions Review Committee Meetings</th></tr><tr><td>Mr. D. N. N. Lokuge</td><td>4/4</td><td></td><td>1/1</td><td></td></tr><tr><td>Mr. A. P. Weerasekera</td><td>4/4</td><td></td><td></td><td>3/3</td></tr><tr><td>Mr. A. P. W. Perera</td><td>4/4</td><td></td><td></td><td></td></tr><tr><td>Mr. D. S. K. Amarasekera</td><td>0/4</td><td></td><td></td><td></td></tr><tr><td>Mr. R. K. Athula Ranaweera</td><td>4/4</td><td>4/4</td><td>1/1</td><td>3/3</td></tr><tr><td>Dr. (Mrs.) A. D. N. de Zoysa</td><td>4/4</td><td>4/4</td><td></td><td>3/3</td></tr><tr><td>Ms. S. Wickramasinghe</td><td>4/4</td><td>4/4</td><td>1/1</td><td>3/3</td></tr><tr><td>Mrs. S. Kotakadeniya resigned on 26th January 2021 (Alt. Director to Mr. D. S. K. Amarasekera)</td><td>0/4</td><td></td><td></td><td></td></tr></table>	Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Transactions Review Committee Meetings	Mr. D. N. N. Lokuge	4/4		1/1		Mr. A. P. Weerasekera	4/4			3/3	Mr. A. P. W. Perera	4/4				Mr. D. S. K. Amarasekera	0/4				Mr. R. K. Athula Ranaweera	4/4	4/4	1/1	3/3	Dr. (Mrs.) A. D. N. de Zoysa	4/4	4/4		3/3	Ms. S. Wickramasinghe	4/4	4/4	1/1	3/3	Mrs. S. Kotakadeniya resigned on 26th January 2021 (Alt. Director to Mr. D. S. K. Amarasekera)	0/4			
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The Responsibilities of the Board																																															
The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively.																																															
The Board is responsible for the following:-																																															
• formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions																																															
The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report.																																															
Obtaining Independent Professional advice																																															
In discharging their duties the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company.																																															
Company Secretary																																															
The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with board procedures, relevant statutory obligations and other applicable rules and regulations.																																															

Corporate Governance Principle	Principle No.	Level of Compliance
The Board (Continued)	A.1 (Continued)	Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.
Chairman's role	A.3	The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance
Board balance	A.5	Composition The Board currently comprises of seven Directors which include six Non- Executive Directors and one Executive Director. Three out of six Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Mrs. S. Wickramasinghe, Dr. (Mrs.) A.D.N. de Zoysa and Mr. R.K. Athula Ranaweera meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director.
Re-election	A8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of the Company.
Appraisal of the Managing Director	A.9	The Annual appraisal of the Managing Director is carried out by the Board against pre-agreed performance targets.
Disclosure of Information in respect of Directors	A.10	Current Directors' biographical details such as name, qualifications and brief profile are set out on pages 16 to 17 of this Annual Report. These include their main external commitments.
Level and makeup of remuneration	B2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 41 of this Report.
Disclosure of remuneration	B3	The total remuneration of the Directors' is disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.

Corporate Governance Principle	Principle No.	Level of Compliance
Major transactions	C3	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 01 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.
Financial and business reporting	D1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 40 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Audit Committee	D3	The Audit Committee consists of three Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks • Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met five times during the year The Chairman and the Managing Director of the Company attended all meeting by invitation.
Code of Business Conduct and Ethics	D5	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Institutional and Other Investors		
Shareholder voting	E1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

CORPORATE GOVERNANCE

Disclosures Pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1(a)	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs	✓	Corporate Governance Report
7.10.2(a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent	✓	Corporate Governance Report
7.10.2(b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non- independence in the prescribed format	✓	Corporate Governance Report
7.10.3(a) and (b)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	✓	Corporate Governance Report
	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is met	✓	Corporate Governance Report
7.10.3(c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/ her area of expertise	✓	Profiles of the Board of Directors
7.10.4 (a- h)	Criteria for defining "independence"	Requirements for fulfilling criteria of "Independence"	✓	Corporate Governance Report

Rules relating to Remuneration Committee

7.10.5(a)	Composition of Remuneration Committee	The Committee shall comprise of Non- Remuneration Executive Directors, majority of whom shall Committee be independent The Chairman of the Committee shall be a Non- Executive Director	✓	Directors' Report on the state of affairs of the company
7.10.5(b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the functions of the remuneration payable to the Executive Remuneration Directors and Chief Executive Officer or Committee equivalent role	✓	The Remuneration Committee Report
7.10.5(c)	Disclosure in the Annual Report	The Report should include the names of Annual Report the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors	✓	The Directors' Report on the state of affairs of the company and the Remuneration Committee Report

Rules relating to Audit Committee

7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	✓	The Directors' Report on the state of affairs of the Company and the Audit Committee Report
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CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re-appointment or removal of the external auditors and approving their remuneration and terms of engagement	✓	Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	✓	Directors' Report on the state of affairs of the Company, Audit Committee Report
Rules relating to Related Party Transaction Review Committee				
9.2.1	Related Party Transaction Review Committee (RPTRC)	Reviewing of Related Party Transactions except transactions mentioned under rule 9.5 should be carried out by the committee prior to entering into completion of the transaction	✓	Directors' Report on the state of affairs of the Company, Related Party Transaction Review Committee Report
9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non- executive director shall be appointed as Chairman of the Committee.	✓	The Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report
9.2.4	Frequency of Meeting	The Committee shall meet at least once a calendar quarter. The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors	✓	Related Party Transaction Review Committee Report
9.2.5	RPTRC access to knowledge, expertise or professional advice	Committee should have access to knowledge or expertise to assess all aspects of proposed related party transaction or obtained appropriate professional and experts' advice.	✓	Related Party Transaction Review Committee Report

REPORT ON RISK MANAGEMENT

A business that does not face any risk, cannot be found in the world. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the unsystematic risk represents the risk unique to the respective

business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment

Government rules and regulations in relation to the agro industry. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. The following are the highlights of the key risks and the associated risk mitigating activities of the AgStar group.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversify its existing business portfolio	Stringent evaluation of risks associated with each new investment is carried out by in-house expertise and external resources as and when required. Formation of strategic alliances with reputed partners to create synergies and share the investment risk. Address potential adverse ethical, social and environmental factors before venturing into such new projects
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL)	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Constant follow-up with Government authorities to recover the subsidy component within the stipulated time period. Carry out necessary and appropriate representative efforts in this regard.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Closely monitors domestic and global economic activities that could have an impact on Group's business to take precautions. Maintain sound relationships with relevant stakeholders
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Ensures maximizing returns on financial investments and minimizing cost borrowing Use of appropriate financial and hedging strategies to minimize interest rate risk. Negotiate for concessionary interest rates using AgStar's strength as a listed Company
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Participate in representative effort against regulations that could have a negative impact on business / industry.

Description of Risk	Risk Mitigation
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct an in-depth analysis of debtors on their performance. Regular follow-up on overdue debtors to minimize potential losses.
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build a strong employer brand. Implement an effective human resource policy and a plan which is reviewed by the remuneration committee. Adopt an open door policy where any employee can speak to the senior management regarding their concerns.
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure complaints and the effectiveness of internal control system. Maintain a business continuity plan to ensure disaster preparedness.
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a business continuity plan to ensure disaster preparedness. Use of AgStar's group strength as a listed Company to raise economical funding as and when required.
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Maintain constant communication with authorities about policy changes and appropriate representative efforts.
Competition Risk Risk of losses from a decline in company's competitiveness.	Carry out regular analysis on competitor activities and performance. Formulate strategies to enhance AgStar's market share.

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Statement sets out the responsibility of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors' Report is given on pages 54 to 57.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position the Company as at end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2021, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies have been selected and applied consistently.
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS);

- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

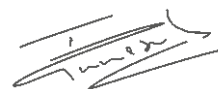
Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 54 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the

statement of financial position have been paid, or where relevant provided for, except as disclosed in note 33 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



P. R. Secretarial Services (Pvt) Limited
Secretaries
Colombo

02 June 2021

REMUNERATION COMMITTEE REPORT

Composition of the Remuneration Committee

The Remuneration Committee (the Committee) appointed by the Board of Directors consists of two Independent Non-Executive Directors and one Non-Executive Director. The members of the Committee during the year under review were Mr. D. N. N. Lokuge (Chairman), Mr. R. K. Athula Ranaweera and Mrs. S. N. Wickramasinghe.

Committee Meetings

The Committee met once during the year under review as per the table on page 32 of this report and the minutes of the meeting are presented to the Board.

Attendance

The Chairman and the Managing Director attended the meeting of the Committee by invitation as the senior executives to discuss the management performance and to make proposals as deemed necessary except where their own remunerations are discussed.

Role of the Committee

The role of the Committee is to;

- formulate the remuneration policy of the company to attract and retain high calibre personnel and motivate them
- make recommendations to the Board and monitor the level and structure of remuneration for senior management
- make recommendations to the Board on the Company's framework of executive remuneration and its cost, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors

- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions)

Remunerations to Directors

The remuneration paid to Directors during the year under review is indicated in note 10 to the financial statements.



D. N. N. Lokuge

Chairman- Remuneration Committee
Colombo

02 June 2021

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Adoption of the Code of Best Practices on Related Party Transactions

The Committee function on behalf of the Board in complying with the Listing Rules of the Colombo Stock Exchange and with the Code of Best Practices on Related Party Transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka.

Purpose of the Committee

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

Composition of the Committee

The Committee consists of three (3) members of independent non-executive directors. The members of the Committee are:

Name	Position
Ms. S. Wickramasinghe (Committee Chairman)	Non -Executive and Independent Director
Dr. (Mrs.) A. D. N. de Zoysa	Non -Executive and Independent Director
Mr. R. K. Athula Ranaweera	Non -Executive and Independent Director

Charter of the Related Party Transaction Review Committee

The Related Party Transaction Review Committee Charter clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently the Committee has been authorized to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities.
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from within or without the Company as deemed necessary by the Committee in order to carry out its duties; and
- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

Responsibilities

The following key responsibilities have been set out in the Charter;

- Ensure that the company complies with the rules set out in the Code.

Subject to the exceptions given under Section 9 of the Code, the Committee shall review in advance all proposed related party transactions.

- Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee of the Board of Directors as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

Meetings

The Committee shall meet on quarterly basis and the attendance at meetings is given in table on page 32 of this Annual Report.

The Committee met three times during the year to review proposed related party transactions. Due to the pandemic situation, the first and second quarter meetings were held jointly.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2020/21. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not more favourable to the related parties than to those generally

available to the public. The details of related party transactions entered during the year are given in note 31 to the financial statements on page 117 of this Annual Report.

Policies and Procedures

In order to enhance transparency and good governance, the members of the Board of Directors of the Company have been identified as Key Management Personnel (KMP). In accordance with the Related Party Transactions Policy, declarations were obtained from each KMP for the purpose of identifying any RPTs that were carried out by the Company and to comply with the disclosure requirements, if any.

The Committee's key focus is to review all proposed Related Party Transactions (RPT) prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing rules of the Colombo Stock Exchange. In addition, the Accountant is required to report to the Committee the previous quarter's actual related party transactions on a quarterly basis.

Declaration

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.



Ms. S. Wickramasinghe

Chairman

Related Party Transaction Review Committee

02 June 2021

FINANCIAL CALENDAR

Financial Year end	-	31st March 2021
Announcement of results		
1st Quarter ended 30th June 2020	-	14th August 2020
2nd Quarter ended 30th September 2020	-	13th November 2020
3rd Quarter ended 31st December 2020	-	15th February 2021
4th Quarter ended 31st March 2020	-	02nd June 2021
Notice of Annual General Meeting	-	25th June 2021
19th Annual General Meeting	-	15th July 2021



AGENTS OF GROWTH

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DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The details set out in the following report provide information required by the Companies Act No 07 of 2007 and the listing rules of the Colombo Stock Exchange of Sri Lanka and are guided by recommended best practices on Corporate Governance. This Report was approved by the Board of Directors by Resolution passed as of 02 June 2021.

General

The Directors of AgStar PLC (the Company) have pleasure in submitting their report together with the audited Financial Statements of the Company, and the audited consolidated Financial Statements of the Group for the year ended 31st March, 2021 and the Auditors' Report thereon.

Review of Performance for the Year Ended 31st March, 2021

The operations of the Company and its subsidiaries for the year ended 31st March, 2021 are reviewed in the Chairman's Report and the Managing Director's review.

Company Activities and Structure

AgStar Fertilizers (Private) Limited (Reg: No. N[PVS] 30875) was incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and was re-registered as per the Companies Act No. 07 of 2007 (Reg: No PV 1618) On 26th December, 2007. The name of the Company was changed to AgStar Fertilizers Limited (Reg. No. PV 1618 PB) pursuant to the change of its status to a limited liability company. On 16th February, 2012 the shares of AgStar Fertilizers Limited were listed on the DiriSavi Board of the Colombo Stock Exchange and the name of the Company thus changed to AgStar Fertilizers PLC with effect from 8th May, 2012. Subsequently, the name was changed to AgStar PLC with effect from 21st July 2014.

During the year the Principal Activity of the Company was to carry out the business of importing, blending and marketing of fertilizer products.

The Company has eight subsidiary companies and their activities are given on page 63 of this Annual Report.

The Board of Directors of AgStar PLC at its meeting held on 30th July 2020 resolved to amalgamate AgStar PLC with its fully owned subsidiary, AgStar Properties (Pvt) Ltd, in terms of Section 242(1) of the Companies Act No. 07 of 2007 (the Act) whereby AgStar PLC will remain and AgStar Properties (Pvt) Ltd ceased to exist. The effective date of the Amalgamation was 12th October 2020.

Directors' Responsibility for Financial Reporting

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the subsidiaries as to the true and fair view of the State of Affairs of the Company and its subsidiaries.

The Statement of Directors Responsibility for Financial Reporting is given on page no 40.

The Financial Statements of the Company and the Group are given on pages 58 to 129.

Accounting Policies

The Accounting Policies adopted in preparation of Financial Statements are given on pages 63 to 79 There were no material changes in the Accounting Policies of the Group during the year under review.

Auditors

The Financial Statements for the year ended 31st March, 2021 have been audited by Messrs KPMG (Chartered Accountants.)

A resolution for the re-appointment of Messrs KPMG Chartered Accountants and authorizing the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in note no 10 on page 82 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG do not have any relationship with the Company other than that of Auditors.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page no 54 of this Report.

Results and Appropriations

The profit after tax of the parent Company, AgStar PLC was Rs. 455.2 million (2020- Rs. 193.3 million), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 476.3 million (2020- Rs. 137.9 million). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given on page 47.

Financial results

	31st March 2021	31st March 2020
Operating profit	611,333,319	259,822,682
Finance cost	(73,370,250)	(105,034,479)
Finance income	38,489,905	50,707,484
Profit before tax	576,452,974	205,495,687
Tax expense	(84,077,757)	(63,977,014)
Profit from continuing operations	492,375,217	141,518,673
Loss from discontinued operations (net of tax)	(17,244,337)	(3,529,688)
Profit for the year	475,130,880	137,988,985
Other comprehensive income (net of tax)	478,473	(147,932)
Loss available to non-controlling interest	(1,128,262)	-
Profit available to Group's shareholders	476,737,615	137,841,053
Balance brought forward from previous year	1,146,113,005	1,020,712,282
Amount available for appropriation	1,622,850,620	1,158,553,335
Transfer of revaluation reserve on buildings	-	52,559,670
Final dividend	-	(65,000,000)
Balance to be carried forward next year	1,622,850,620	1,146,113,005

Dividends

The Company proposed final dividend payment of Rs. 0.20 per share for 2020/ 2021 financial year.

Property, Plant and Equipment

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note No. 15 to the Financial Statements on pages 90 to 97. The book value of property, plant and equipment as at the reporting date amounted to Rs. 2,403 million (2020-Rs. 1,651 million) and Rs. 2,143 million (2020-Rs. 399 million) for the Group and Company respectively.

Stated Capital

The Stated Capital of the Company as at 31st March, 2021 was Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares (2019-Rs. 1,204,093,67 comprising 307,526,310

ordinary voting shares and 17,473,690 non-voting shares) a given in note 24 to the financial statements.

Donations

The Company has made no donation during the year (2020 - Rs.Nil)

Capital Commitments

The Capital Expenditure Commitments as at 31st March, 2021 is given in note no 32 on page no 119.

Revenue Reserves

The reserves consist of retained earnings. The revenue reserves as at 31st March 2021 for the Group and Company amounted Rs. 1,623 million (2020-Rs. 1,146 million) and Rs. 2,090 million (2019- Rs. 1,124 million). Details and movements of reserves are disclosed in the Statement of Changes in Equity on pages no 60 to 61 to the Financial Statements.

Provision For Taxation

The provision for taxation is computed at the rates as disclosed in note no. 11 on page 83 to 85 the Financial Statements.

Statutory Payments

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 40 of this Report.

Contingent Liabilities

Contingent Liabilities outstanding as at 31st March, 2021 are given in note no. 33 on page 119 to the Financial Statements.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

Events After the Reporting Period

The events occurring after the reporting dates are given in note no 34 on page no 120 of the report.

Corporate Governance and Internal Controls

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

An Audit Committee, Remuneration Committee and the Related Party Transaction Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows;

Audit Committee

Mr. R. K. Athula Ranaweera
(Independent Non-Executive Director) -
Chairman

Dr. (Mrs.) A. D. N. de Zoysa
(Independent Non - Executive Director)

Mrs. S. N. Wickramasinghe
(Independent Non - Executive Director)

Remuneration Committee

Mr. D. N. N. Lokuge
(Non-Executive Director) - Chairman

Mr. R. K. Athula Ranaweera
(Independent Non - Executive Director)

Mrs. S. N. Wickramasinghe
(Independent Non - Executive Director)

Related Party Transaction Review Committee

Mrs. S. N. Wickramasinghe
(Independent Non – Executive Director) -
Chairman

Mr. R. K. Athula Ranaweera
(Independent Non-Executive Director)

Dr. (Mrs.) A. D. N. de Zoysa
(Independent Non – Executive Director)

The Company's compliance with the rules on corporate governance are given in corporate governance report on pages 31 to 39. The Audit Committee Report and the Remuneration Committee Report are disclosed in page no 53 and page no 41 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

Compliance with Rules & Regulations

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

Going Concern

After considering the financial position as at 31st March 2021 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore the Directors have adopted the assumption of going concern in preparing these Financial Statements.

Employment Policy

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2021 was 179.

Equitable Treatment to Stake Holders and Their Interest

The Group has taken all steps to ensure the equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safe guard the interest of its stake holders.

Environmental Protection

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

Directors during the Year

The Directors of the Company during the financial year were as follows:

Mr. N. G. R. Karunaratne (Previous Chairman)
Ceased in terms of Section 211 (1) of the Companies Act No. 7 of 2007 with effect from 28th June 2020

Mr. D. N. N. Lokuge (Present Chairman)

Mr. A. P. Weerasekera (Managing Director)

Mr. W. A. P. Perera

Mr. D. S. K. Amarasekara

Mrs. S. N. Wickramasinghe

Mr. R. K. A. Ranaweera

Dr. (Mrs.) A. D. N. de Zoysa

Mrs. V.G.S. S. Kotakadeniya - (Alt. Director to Mr. D.S.K. Amarasekera) – resigned on 26th January 2021

The detailed profiles of the Board of Directors of the Company are given on pages 16 to 17 of this Report.

Rotation/ Re-Election of Directors

- I. Mr. D. S. K. Amarasekera who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers himself for re-election.
- II. Mrs. S. N. Wickramasinghe who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers herself for re-election.

Independent Directors

During the year the following Directors were acting as the Independent Directors of the Company;

Mr. R. K. A. Ranaweera

Dr. (Mrs.) A. D. N. de Zoysa

Mrs. S. N. Wickramasinghe

Directors Interest Register

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained during the accounting period under review.

Directors' Interest in Contracts

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in note 31 to the Financial Statements.

Directors' Interest in Shares

Name of The Director	As At 31st March 2021		As At 31st March 2020	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. D. N. N. Lokuge	3,125,000	Nil	3,125,000	Nil
Mr. A. P. Weerasekera	7,327,800	5,824,550	7,295,800	5,824,550
Mr. W. A. P. Perera	3,120,000	Nil	3,120,000	Nil
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mr. R. K. Athula Ranaweera	Nil	Nil	Nil	Nil
Dr. (Mrs.) A. D. N. de Zoysa	Nil	Nil	Nil	Nil
Mrs. S. N. Wickramasinghe	Nil	Nil	Nil	Nil

Directors Fees and Remuneration

The amount of the Directors fees and Remuneration paid during the year is given in note no 10 to the Financial Statements on page 82.

Related Party Transactions

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in note no 31 to the Financial Statements.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

Shareholders

The number of registered shareholders' of the Company as at 31st March, 2021 was 1,203. The distribution and analysis of shareholdings were as follows:

Voting

Number of Shares	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	740	179,554	0.06%	631	138,041	0.04%
1001-10000	322	1,355,052	0.44%	221	858,517	0.28%
10001-100000	106	3,466,072	1.13%	99	3,173,337	1.03%
100001-1000000	22	8,422,289	2.74%	23	8,263,465	2.69%
1000001- & Over	13	294,103,343	95.63%	14	295,092,950	95.96%
Total	1,203	307,526,310	100%	988	307,526,310	100%

Non-Voting

Number of Shares	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1	1,000	0.01%	1	1,000	0.01%
1000001- & Over	2	17,472,690	99.99%	2	17,472,690	99.99%
Total	3	17,473,690	100%	3	17,473,690	100%

Resident / Non Resident (Voting)

Resident/Non Resident	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	1,196	307,514,959	99.99%	983	307,517,960	99.99%
Non Resident	7	11,351	0.01%	5	8,350	0.01%
	1,203	307,526,310	100%	988	307,526,310	100%

Resident / Non Resident (Non-Voting)

Resident/Non Resident	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	3	17,473,690	100%	3	17,473,690	100%
Non Resident	-	-	-	-	-	-
	3	17,473,690	100%	3	17,473,690	100%

Individual/Institution (Voting)

Individual/ Institution	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	1,151	34,106,126	11.11%	943	34,153,980	11.11%
Institution	52	273,420,184	88.89%	45	273,372,330	88.89%
	1,203	307,526,310	100%	988	307,526,310	100%

Individual/Institution (Non-Voting)

Individual/ Institution	As at 31st March 2021			As at 31st March 2020		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	2	5,825,550	33.33%	2	5,825,550	33.33%
Institution	1	11,648,140	66.67%	1	11,648,140	66.67%
	3	17,473,690	100%	3	17,473,690	100%

List of 20 Major Shareholders (Voting)

Name of shareholders	As At 31st March 2021		As At 31st March 2020	
	Share Holding	Percentage %	Share Holding	Percentage %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%	20,500,000	6.67%
Sampath Bank PLC/Dr. T. Senthilvel	10,627,982	3.46%	10,627,982	3.46%
Mr. N. G. R. Karunaratne	8,229,310	2.68%	8,229,310	2.68%
Mr. A. P. Weerasekera	7,327,800	2.38%	7,295,800	2.37%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%	3,150,000	1.02%
Mr. D. N. N. Lokuge	3,125,000	1.02%	3,125,000	1.02%
Mr. W. A. P. Perera	3,120,000	1.01%	3,120,000	1.01%
Ms. A. C. P. Irugalbandara – Joint with Mrs. J. M. A. Irugalbandara	1,500,000	0.49%	1,500,000	0.49%
Mr. S. Karunaratne	1,250,000	0.41%	1,250,000	0.41%
Ms. G. S. M. Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Ms. A. C. P. Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Sierra Engineering and Construction (Pvt) Ltd	843,589	0.27%	1,021,607	0.33%
Mr. M. S. S. Ghazaly	745,000	0.24%	1,000,000	0.33%
Hatton National Bank PLC/Mr. G. S. Niranjan Peris	500,000	0.16%	-	-
Mr. F. A. W. Irugalbandara	499,967	0.16%	-	-
Mrs. S. H. Sardakhan	499,000	0.16%	-	-
Total	299,190,899	97.29%	298,092,950	96.93%

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

List of 3 Major Shareholders (Non-Voting)

Name of shareholders	As At 31st March 2021		As At 31st March 2020	
	Share Holding	Percentage %	Share Holding	Percentage %
Sierra Holdings (Pvt) Ltd	11,648,140	66.66%	11,648,140	66.66%
Mr. A. P. Weerasekera	5,824,550	33.33%	5,824,550	33.33%
Mr. A. B. Weerasekera	1,000	0.01%	1,000	0.01%

Public Shareholding

The percentage of public shareholding as at the 31st of March 2021 was Voting- 18.81% and Non-Voting - 0.01%

Float Adjusted Market Capitalisation

The float adjusted market capitalisation as at 31st March 2021 is Rs. 428.16 Mn and minimum public holding requirement is compliant with option-2 as per Sec 7.13.1 (b) of the Listing Rule of CSE.

Annual Report

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 02 June 2021. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

Annual General Meeting

The virtual 19th Annual General Meeting will be held on 15 July 2021, at 10.00 am via Microsoft Team at No. 09, Bawa Place,

Colombo 08. The notice of Annual General Meeting is given on page no 131.

On behalf of the Board of Directors.



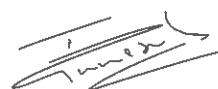
D. N. N. Lokuge

Chairman



A. P. Weerasekera

Managing Director



P. R. Secretarial Services (Pvt) Ltd

Company Secretary
Colombo

02 June 2021

AUDIT COMMITTEE REPORT

Purpose of the Committee

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the external auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

Composition

The committee appointed by the Board of Directors consists of three independent non-executive Directors. The committee is headed by Mr. R.K. Athula Ranaweera who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Dr. (Mrs) A.D.N. de Zoysa who represents the committee hold a Ph.D. Degree in Agricultural Economics and committee member Ms. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka.

The Chairman and Managing Director attend to the Committee meeting by invitation.

Meetings

There were four meetings of the committee during the year under review; each attendance is stated in the table on page 32 of this report.

Financial Reporting

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is responsible for reviewing

the internal audit function of the company and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the Board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

External Audit

The committee has recommended to the Board of Directors that Messer's KPMG to be appointed as the auditors of the company for the year ending 31st March 2022 subject to the approval of the shareholders at the Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



R. K. Athula Ranaweera
Chairman – Audit Committee
Colombo.

02 June 2021

INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
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Internet www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC Report on the Audit of the Financial Statements Opinion

We have audited the accompanying financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2021, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements comprising a summary of significant accounting policies and other explanatory information set out on pages 58 to 129 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group

give a true and fair view of the financial position of the Company and the Group as at March 31, 2021, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter - Amalgamation of AgStar Properties (Pvt) Ltd. with AgStar PLC

We draw attention to Note 19.2 to the financial statements, which describes the amalgamation of the fully owned subsidiary AgStar Properties (Pvt) Ltd. with AgStar PLC on October 12, 2020. Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyrathne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan FCA	M.N.M. Shameel ACA	Ms. C.T.K.N. Perera ACA
A.M.R.P. Alahakoon ACA		
Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA		
Ms. P. M. K. Sumanasekara FCA, W. A. A. Weerasekara CFA, ACMA, MRICS		

Impairment assessment on the Group's Goodwill and Exclusive Dealership

Refer note 18 to the financial statements.

Risk description

The Goodwill in the consolidated financial statements attributed to Prith Seeds (Pvt) Ltd amounted to Rs. 56 Mn as at 31st March 2021. Additionally, AgStar Seeds (Pvt) Ltd, a subsidiary company, acquired the exclusive dealership of Tohoku Seed in Sri Lanka during the year for a sum of Rs. 50.0 Mn and thereby the right to import, distribute and sell hybrid vegetable seeds from Tohoku Japan as explained in Note 18 to the financial statements.

Management performed impairment assessments of the goodwill and the exclusive dealership of Tohoku Seed recorded in the consolidated financial statements as at March 31, 2021. In performing the impairment assessments, the management compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which Goodwill and the exclusive dealership of Tohoku Seed had been allocated) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating growth rates, discount rates and future cash flows, inclusive of the impact of the ongoing COVID-19 pandemic, which can be inherently judgemental.

We identified the assessment of potential impairment of goodwill and the exclusive dealership of Tohoku Seed a key audit matter because the year-end impairment assessment performed by the management contain judgemental assumptions which could be subject to management bias.

Classification and Valuation of Assets Held for Sale

Refer note 12 to the financial statements.

Risk description

The Group's classification and valuation of plant and machinery of Mahaweli Agro Trading (Pvt) Limited and AgStar Grains (Pvt) Limited amounting to Rs. 35 Mn and Rs. 138 Mn respectively, classified as assets held for sale as at the reporting date, is a key audit matter due to the significance of the amount and management judgment involved.

Management's assessment of the basis for classification of the plant and machinery as assets held for sale is judgemental, as the sale has to be considered highly probable and is expected to be completed within one year in accordance with SLFRS 5- Non-current assets held for sale and discontinued operation. Moreover, the management is required to measure the assets held for sale at the lower of the carrying amount and fair value less costs to sell. Inaccurate management estimates made in the fair value less costs to sell, which includes areas of judgement such as the impact of COVID-19 pandemic, could result in a significant impact on the value of the assets held for sale as at the reporting date and related impairment loss in the statements of comprehensive income.

Our response

Our audit procedures included;

- Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based;
- Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models;
- Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates;
- Assessing the impact of COVID-19 pandemic on the assessment of impairment of goodwill;
- Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjective and key assumptions.

Our response

Our audit procedures included:

- Challenging the management's judgment on the classification and valuation of assets held for sale through understanding the status of the sales process and verifying the valuation of the assets as determined by the management;
- Assessing the classification of assets held for sale as discontinued operations against the relevant criteria in the accounting standard;
- Assessing the impact of COVID-19 in the fair valuation of assets classified as discontinued operations;
- Assessing the adequacy of financial statements disclosure in relation to discontinued operations.

INDEPENDENT AUDITOR'S REPORT



Recoverability of Subsidy Receivable

Refer note 21.2 to the financial statements.

Risk description

The subsidy receivable comprises government subsidies given on fertilizer operations. Specific conditions are generally attached to the subsidies which are subject to formal evaluation and approval procedures. As at March 31, 2021 the value of subsidy receivable outstanding in AgStar PLC was Rs. 4.02 Bn.

In addition, as at the reporting date, 51% of the total assets of the Company consisted of Subsidy receivables. Management evaluates, on a periodic basis, whether the Company has complied with the relevant conditions attached and whether reasonable assurance has been obtained that subsidies will be received, in order to determine the timing and amount of subsidies to be recognized.

We identified the recoverability of subsidy receivable as a key audit matter because of the significance of the value to the financial statements and the judgements involved in determining the recoverability of the asset.

Our response

Our audit procedures included:

- Challenging the management's judgment on the recoverability of the outstanding balance as at the reporting date;
- Assessing the classification of subsidies with reference to the terms of the underlying documentation;
- Verifying the confirmations of the calculations received by the Company on the balances of subsidy receivables;
- Verifying settlements received by the Company during the year and subsequent to the financial statement date;
- Inspecting documentation relating to the subsidies given by government authorities and identifying the specific conditions attached to the subsidies and respective application and approval procedures.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or

otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial

statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements

in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1224.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

02 June 2021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Note	Group 2021	2020	Company 2021	2020
Continuing operations					
Revenue	6	3,611,145,274	1,734,841,164	2,894,569,434	1,267,997,542
Cost of sales		(2,606,943,689)	(1,011,580,404)	(2,141,367,070)	(726,324,804)
Gross profit		1,004,201,585	723,260,760	753,202,364	541,672,738
Other income	7	25,513,247	31,995,310	89,572,644	83,171,408
Selling and distribution expenses		(128,725,535)	(117,723,804)	(88,142,123)	(84,173,133)
Administrative expenses		(289,655,978)	(286,324,978)	(216,257,147)	(218,131,842)
Other expenses	8	-	(91,384,606)	(7,800,000)	(8,041,557)
Operating profit		611,333,319	259,822,682	530,575,738	314,497,614
Finance income		38,489,905	50,707,484	39,609,525	42,121,160
Finance costs		(73,370,250)	(105,034,479)	(66,674,228)	(95,386,122)
Net finance income costs	9	(34,880,345)	(54,326,995)	(27,064,703)	(53,264,962)
Profit before taxation	10	576,452,974	205,495,687	503,511,035	261,232,652
Income tax expense	11	(84,077,757)	(63,977,014)	(48,265,094)	(67,912,820)
Profit from continuing operations		492,375,217	141,518,673	455,245,941	193,319,832
Discontinued operations					
Loss from discontinued operations, net of tax	12	(17,244,337)	(3,529,688)	-	-
Profit for the year		475,130,880	137,988,985	455,245,941	193,319,832
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Revaluation of property, plant and equipment	15	89,793,559	91,483,579	77,341,093	34,013,056
Deferred tax impact on revaluation of assets	28.2	54,737,764	(25,615,403)	56,979,208	(9,523,656)
Actuarial gain/(loss) on defined benefit obligations	26	583,504	(205,461)	589,114	(184,093)
Deferred tax impact on actuarial gain/(loss)	28	(105,031)	57,529	(106,041)	51,546
Other comprehensive income, net of tax		145,009,796	65,720,244	134,803,374	24,356,853
Total comprehensive income for the year		620,140,676	203,709,229	590,049,315	217,676,685
Profit attributable to:					
Owners of the Company		476,259,142	137,988,985	455,245,941	193,319,832
Non-controlling interests		(1,128,262)	-	-	-
Profit for the year		475,130,880	137,988,985	455,245,941	193,319,832
Total comprehensive income attributable to:					
Owners of the Company		621,268,938	203,709,229	590,049,315	217,676,685
Non-controlling interests		(1,128,262)	-	-	-
Total comprehensive income for the year		620,140,676	203,709,229	590,049,315	217,676,685
Earnings per share					
Basic earnings per share (Rs.)	13	1.47	0.42	1.40	0.59

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

(All amounts in Sri Lankan Rupees)

As at 31st March,	Note	Group 2021	2020	Company 2021	2020
Assets					
Non-current assets					
Property, plant and equipment	15	2,403,079,573	1,650,868,826	2,142,650,394	398,779,881
Investment property	16	-	-	165,325,651	-
Right of use assets	17.1	7,182,264	3,520,826	1,829,386	17,888,878
Intangible assets	18	111,335,305	62,407,861	4,591,102	421,042
Investments in subsidiaries	19	-	-	184,779,088	491,579,088
Deferred tax assets	28.1	8,434,405	13,666,218	-	-
Total non-current assets		2,530,031,547	1,730,463,731	2,499,175,621	908,668,889
Current assets					
Inventories	20	892,594,197	362,687,588	379,487,194	207,237,503
Trade and other receivables	21	4,416,583,714	3,211,617,309	4,252,348,166	3,057,021,564
Amounts due from related companies	22	-	-	456,975,675	605,074,067
Current tax receivable		1,688,376	7,903,430	1,688,376	7,581,839
Cash and cash equivalents	23	428,140,287	83,636,666	343,907,697	45,412,064
		5,739,006,574	3,665,844,993	5,434,407,108	3,922,327,037
Assets classified as held for sale	12	180,740,206	513,045,769	-	260,832,550
Total current assets		5,919,746,780	4,178,890,762	5,434,407,108	4,183,159,587
Total assets		8,449,778,327	5,909,354,493	7,933,582,729	5,091,828,476
Equity					
Stated capital	24	1,204,093,678	1,204,093,678	1,204,093,678	1,204,093,678
Revaluation reserve		818,982,713	674,451,390	331,034,165	196,713,864
Retained earnings		1,622,850,620	1,146,113,005	2,090,152,654	1,123,794,907
Equity attributable to the owners of the Company		3,645,927,011	3,024,658,073	3,625,280,497	2,524,602,449
Non-controlling interests	25	42,697,977	-	-	-
Total equity		3,688,624,988	3,024,658,073	3,625,280,497	2,524,602,449
Liabilities					
Non-current liabilities					
Employee benefits	26	33,846,451	29,822,983	33,801,012	29,685,028
Deferred income	27	656,102	2,150,534	656,102	2,150,534
Deferred tax liabilities	28.2	346,427,360	345,386,849	312,206,583	120,522,229
Loans and borrowings	30	60,955,000	-	57,000,000	-
Lease liabilities	17.2	6,597,678	2,005,872	1,983,512	2,005,872
Total non-current liabilities		448,482,591	379,366,238	405,647,209	154,363,663
Current liabilities					
Trade and other payables	29	3,563,546,081	990,308,130	3,265,010,733	953,025,733
Loans and borrowings	30	714,447,528	1,474,586,446	635,819,588	1,434,594,484
Lease liabilities	17.2	80,396	782,545	22,360	219,305
Current tax payable		10,007,927	5,541,617	-	-
Bank overdrafts	23	24,098,378	31,890,131	1,802,342	25,022,842
		4,312,180,310	2,503,108,869	3,902,655,023	2,412,862,364
Liabilities directly associated with assets held for sale	12	490,438	2,221,313	-	-
Total current liabilities		4,312,670,748	2,505,330,182	3,902,655,023	2,412,862,364
Total liabilities		4,761,153,339	2,884,696,420	4,308,302,232	2,567,226,027
Total equity and liabilities		8,449,778,327	5,909,354,493	7,933,582,729	5,091,828,476

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.



M. R. M. Rizny

Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;



D. N. N. Lokuge

Chairman

02 June 2021



A. P. Weerasekera

Managing Director

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Note	Stated capital	Revaluation reserve	Retained earnings	Total
Balance as at 01st April 2019		1,204,093,678	172,224,464	995,607,622	2,371,925,764
Profit for the year		-	-	193,319,832	193,319,832
Other comprehensive income		-	24,489,400	(132,547)	24,356,853
Total comprehensive income		-	24,489,400	193,187,285	217,676,685
Transactions with owners of the company					-
Dividend	14	-	-	(65,000,000)	(65,000,000)
Balance as at 31st March 2020		1,204,093,678	196,713,864	1,123,794,907	2,524,602,449
Profit for the year		-	-	455,245,941	455,245,941
Other comprehensive income		-	134,320,301	483,073	134,803,374
Balance transferred on amalgamation	19.2	-	-	510,628,733	510,628,733
Total comprehensive income		-	134,320,301	966,357,747	1,100,678,048
Balance as at 31st March 2021		1,204,093,678	331,034,165	2,090,152,654	3,625,280,497

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Note	Stated capital	Revaluation reserve	Retained earnings	Total	Non-controlling interest	Total equity
Balance as at 01st April 2019		1,204,093,678	661,142,884	1,020,712,282	2,885,948,844	-	2,885,948,844
Profit for the year		-	-	137,988,985	137,988,985	-	137,988,985
Other comprehensive income		-	65,868,176	(147,932)	65,720,244	-	65,720,244
Total comprehensive income		-	65,868,176	137,841,053	203,709,229	-	203,709,229
Transfer of revaluation reserve on buildings demolished		-	(52,559,670)	52,559,670	-	-	-
Transactions with owners of the company							
Dividend	14	-	-	(65,000,000)	(65,000,000)	-	(65,000,000)
Balance as at 31st March 2020		1,204,093,678	674,451,390	1,146,113,005	3,024,658,073	-	3,024,658,073
Transactions with owners of the company							
Acquisition of subsidiary with NCI	25	-	-	-	-	43,826,239	43,826,239
		-	-	-	-	43,826,239	43,826,239
Profit for the year		-	-	476,259,142	476,259,142	(1,128,262)	475,130,880
Other comprehensive income		-	144,531,323	478,473	145,009,796	-	145,009,796
Total comprehensive income		-	144,531,323	476,737,615	621,268,938	(1,128,262)	620,140,676
Balance as at 31st March 2021		1,204,093,678	818,982,713	1,622,850,620	3,645,927,011	42,697,977	3,688,624,988

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOW

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Note	Group 2021	2020	Company 2021	2020
Cash flow from operating activities					
Profit before tax from continuing operations		576,452,974	205,495,687	503,511,035	261,232,652
Loss before tax from discontinued operations		(16,274,357)	(1,407,640)	-	-
Adjustment for:					
Depreciation	15	48,074,332	50,550,967	37,570,253	33,373,903
Amortization on intangible assets	18	1,396,160	1,064,470	749,134	8,958
Amortization on right-of-use assets	17.1	1,294,816	1,075,440	16,059,492	48,059,492
Interest income	9	(5,578,959)	(10,631,990)	(4,416,310)	(7,685,036)
Interest expenses	9/12.1	73,370,250	105,297,113	66,674,228	95,386,122
Provision of impairment of investments in subsidiaries	7/8	-	-	7,800,000	1,250,000
Impairment of property, plant and equipment	12.1	9,850,000	1,900,000	-	-
Trade receivables write off	10	13,737,179	34,385,039	7,250,355	29,812,168
Buildings demolished	8	-	80,618,049	-	-
Change in fair value of investment property	7	-	-	(6,354,623)	-
Amortisation of deferred income	27	(1,494,432)	(1,494,432)	(1,494,432)	(1,494,432)
Dividend income	7	-	-	(49,999,992)	(64,999,995)
Subsidy write off	21.2	-	9,123,630	-	9,123,630
Impairment of other receivables	21.1/21.4	-	3,975,000	-	-
Impairment/(reversal) of trade receivables	21.3/12.1	3,199,559	(16,092,563)	(4,162,789)	(19,426,037)
Impairment of inventory	20.1	2,554,719	1,048,466	-	-
Provision for retirement gratuity	26	6,627,139	6,548,517	6,615,615	6,512,469
Operating profit before working capital changes		713,209,380	471,455,753	579,801,966	391,153,894
Changes in:					
Decrease/ (increase) in inventories		(530,449,609)	168,405,682	(172,249,691)	101,417,462
Decrease/ (increase) in trade and other receivables		(70,703,456)	109,027,035	(15,683,211)	164,361,462
Increase in subsidy receivable		(1,147,863,393)	(895,317,610)	(1,147,863,393)	(895,317,610)
Decrease/ (increase) in amounts due from related companies		-	-	(65,350,677)	106,114,316
(Decrease)/ increase in trade and other payables		2,576,179,711	(186,957,901)	2,298,008,190	(150,123,506)
Decrease in amounts due to related companies		-	-	-	(3,158,817)
Cash (used in)/ generated from operating activities		1,540,372,633	(333,387,041)	1,476,663,184	(285,552,799)
Interest expense paid		(75,495,173)	(101,943,436)	(68,882,306)	(92,620,542)
Income tax paid		(11,752,580)	(2,294,000)	-	-
Employee benefit paid	26	(2,020,167)	(7,429,635)	(1,910,517)	(7,429,635)
Net cash flow (used in)/ generated from operating activities		1,451,104,713	(445,054,112)	1,405,870,361	(385,602,976)
Cash flows from investing activities					
Interest income received		6,265,146	11,608,668	5,097,939	4,742,539
Dividend income received		-	-	49,999,992	64,999,995
Acquisition of subsidiary	19.3	-	-	(51,000,000)	-
Funds transferred to related company		-	-	(72,000,000)	(181,210,000)
Acquisition of property, plant and equipment	15	(139,832,182)	(8,252,589)	(13,739,790)	(6,532,043)
Addition to work in progress	15	(214,396,201)	(154,934,834)	(243,820,061)	(725,492)
Acquisition of intangible assets	18	(50,000,000)	(6,846,339)	-	(430,000)
Net cash used in investing activities		(397,963,237)	(158,425,094)	(325,461,920)	(119,155,001)
Cash flows from financing activities					
Proceeds from loans and borrowings	30.1/30.2	3,007,111,761	2,865,761,784	2,707,550,175	2,540,996,447
Repayment of loans and borrowings	30.1/30.2	(3,706,295,679)	(2,374,479,430)	(3,449,325,071)	(2,059,446,842)
Repayment of lease liabilities	17.2/12.2.2	(1,663,200)	(2,440,000)	(500,000)	-
Dividend paid	14	-	(65,000,000)	-	(65,000,000)
Net cash from / (used in) financing activities		(700,847,118)	423,842,354	(742,274,896)	416,549,605
Net cash increase/(decrease) in cash and cash equivalents		352,294,358	(179,636,852)	338,133,545	(88,208,372)
Cash and cash equivalents from the amalgamated Company	19.2	-	-	(16,417,412)	-
Cash and cash equivalents at the beginning of the year		52,825,464	232,462,316	20,389,222	108,597,594
Cash and cash equivalents at 31st March	23	405,119,822	52,825,464	342,105,355	20,389,222

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate information

1.1 Reporting entity

AgStar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 09, Bawa Place, Colombo 8.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2021 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending and marketing of fertilizer products.
- AgStar Cropcare (Pvt) Ltd – Business of importing formulating and marketing of chemicals, fertilizers and specialty products.
- AgStar Seeds (Pvt) Ltd – Business of producing, trading and marketing of seeds and planting materials.
- AgStar Grains (Pvt) Ltd – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Pvt) Ltd (previously named as Mahaweli Rice Processing Industries (Pvt) Ltd) – Company was carrying out business of procurement, processing and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertilizer.

- AgStar Properties (Pvt) Ltd – Set up for property development and construction of warehousing and storage facilities. (Amalgamated with AgStar PLC on 12th October 2020)
- AgStar Exports (Pvt) Ltd – Business of exporting agricultural based products and marketing of consumer goods.
- Prith Seeds (Pvt) Ltd - Business of importing, producing, trading and marketing of seeds and planting materials.
- Euro Asia Tea (Pvt) Ltd - manufacture, export and market tea bags and packets.

The Registrar General of Companies on 12 October 2020 issued the Certificate of Amalgamation in terms of Section 244 (1) (a) of the Companies Act, No. 07 of 2007 that AgStar Properties (Pvt) Ltd has been amalgamated with AgStar PLC in accordance with the provisions of Part VIII of the Companies Act, No. 07 of 2007 with AgStar PLC surviving as the amalgamated entity.

In the opinion of the Board of Directors the parent company undertaking and controlling party is Sierra Holdings (Private) Limited

2. Basis of preparation

2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the

requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2 Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors," "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2021 were approved and authorised for issue by the Board of Directors on the 02 June 2021. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer pages 58;
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 59;
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 60 to 61;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the

NOTES TO THE FINANCIAL STATEMENTS

- Company to generate cash and cash equivalents and utilization of those cash flows. Refer page 62;
- Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 63 to 129.
- 2.4 Basis of measurement**
The consolidated financial statements have been prepared on the historical cost basis, except for land and buildings and investment property are measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.
- 2.5. Functional currency**
The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.
- 2.6. Current versus non-current classification**
The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.
- An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading;
- Or
- Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.
- All other assets are classified as non-current.
- A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period;
- Or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period
- The Group classifies all other liabilities as non-current.
- 2.7. Use of materiality and offsetting**
- 2.7.1 Materiality and aggregation**
Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.
- Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.
- 2.7.2 Offsetting**
Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies of the Company
- 2.8. Use of estimates and judgments**
The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.
- Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

Estimation uncertainty in preparation of financial statements

- The ongoing COVID-19 pandemic has increased the estimation uncertainty in the preparation of these Financial Statements. The estimation uncertainty is associated with:
- The extent and duration of disruption to business arising from the actions by governments, businesses and consumers to contain the spread of the virus;
- The extent and duration of the expected economic downturn (and forecasts for economic factors including GDP and inflation). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, impact of unemployment and decline in consumer discretionary spending.
- The effectiveness of government and The Central Bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

2.8.1 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as

possible. Fair Values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or

- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

2.8.2 Impairment of non-financial assets

At each reporting date the management assesses, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the management estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an

NOTES TO THE FINANCIAL STATEMENTS

individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

2.8.3 Useful lives of depreciable assets
Management reviews its estimation of the useful lives of depreciable assets at each reporting date based on the expected utility of the assets. Uncertainties in these estimates relate to technical obsolescence that may change the useful life of certain property, plant and equipment.

2.8.4 Business combinations
Management uses valuation techniques in determining the fair values of the various elements of a business combination. The fair value of contingent consideration is dependent on the outcome of many variables that affect future profitability.

2.8.5 Defined benefit obligation
Management's estimate of the defined benefit obligation is based on a number of critical underlying assumptions such as standard rates of inflation, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the defined benefit obligation amount and the annual defined benefit expense.

2.8.6 Fair value of financial instruments
Management applies valuation techniques to determine the fair value of financial instruments where active market quotes

are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

2.8.7 Recognition of deferred tax assets
Management applies significant judgment on the extent to which deferred tax assets can be recognised based on an assessment of the probability of the Group's future taxable income against which the deferred tax assets can be utilised. In addition, significant judgment is required in assessing the impact of any legal or economic limits or uncertainties in various future tax jurisdictions.

2.9 Going concern
The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements. Furthermore, when determining the basis of preparing the financial statements for the year ended 31 March 2021, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the group companies and the

appropriateness of the use of the going concern basis. Refer note 35.

3. Significant Accounting Policies

Changes in significant policies

The Group and the Company have consistently applied the Accounting Policies as set out in Notes 3.1 to 3.24 to all periods presented in these Financial Statements except for following policies,

Business Combination

The Group applied Definitions of a Business (Amendments of SLFRS 3) to business combinations whose acquisitions dates are on or after 1 January 2020 in assessing whether it had acquired a business or a group of assets. The details of accounting policies are set out in Note 3.1.

Revaluation of motor vehicles

The Group changed the subsequent measurement of motor vehicles from the cost to the revaluation model to provide more reliable and faithfully representative and relevant information in the financial statements.

3.1 Basis of consolidation

3.1.1 Business combinations and goodwill
The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce inputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value

of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date

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the Group gains control until the date the Group ceases to control the subsidiary.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.3 Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non-controlling interests" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and

therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.4 Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as a FVTOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Reporting date

All the Group's subsidiaries has same reporting period as the parent Company, which is 31st March.

3.1.6 Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties

3.1.7 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currencies

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group at the exchange rates at the dates of the transactions

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined

Non-monetary items that are measured based on historical cost in foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences are recognised in profit or loss and presented within finance costs. Foreign currency differences arising on retranslation

are recognised in the income statement, except for differences arising on the retranslation of equity investments at FVTOCI, a financial liability designated as a hedge of the net investment in a foreign operation, or qualifying cash flow hedges, which are recognised in other comprehensive income.

3.3 Financial instruments

3.3.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through

other comprehensive income (OCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.
- This assessment is referred to as the SPPI test and it is performed at an instrument level. The Company's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents
- A debt investment is measured at FVOCI if it meets both of the following conditions:
- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by investment basis. All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(b)

Business model assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;

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- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

(c) *Assessment whether contractual cash flows are solely payments of principal and interest*

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for

other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires

prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

(d) Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVTOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVTOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

(e) Impairment

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

ECL are discounted at the effective interest rate of the financial asset.

(f) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the trade receivables.

(g) Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.3.3 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4 Assets held for sale and discontinued operations**(i) Assets held for sale**

Non-current assets and disposal groups classified as held for sale

are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

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(ii) **Discontinued operations**

A discontinued operation is a component of the Group's business, the operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale.

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5 Property, plant & equipment

3.5.1 Recognition and measurement

Items of property, plant and equipment other than land and buildings, are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost

of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition for its intended use and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land, building and motor vehicles owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period the Group will revalue such land and buildings every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a

previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins

when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	05-10 years
Motor vehicles	5 years
Furniture and fittings	05-10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Pallets	3-5 years
Factory equipment's	10 years
Solar panels	25 years

3.5.5 Reclassification to investment property

When the use of property changes from owner occupied to investment property, the property is remeasured to fair value and reclassified accordingly. Any gain arising on this remeasurement is recognized in profit or loss to the extent that it reverse a previous impairment loss on the specific property, with any remaining gain recognised OCI and presented in the revaluation reserve.

Any loss is recognised in profit or loss. However, to the extent that an amount is included in the revaluation surplus for that property,

the loss is recognized in OCI and reduced the revaluation surplus within equity.

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory,

the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant and equipment.

3.7 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period in exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the lease of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost,

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which comprises the initial amount of the lease liability adjusted for any lease payment made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the sit on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rate from various external financing sources and make certain adjustment to reflect the term of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following;

- Fixed payments, including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments from a change in an index or a rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the

definition of investment property in 'property, plant, and equipment and lease liabilities in loans and borrowings in the statement of financial position.

3.8 Intangible assets

3.8.1 Initial recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognised by the Group**3.8.4.1 Trademarks and Exclusive Dealership**

Intangible assets includes trademarks and exclusive dealership acquired by the Group. The Tohoku Seed exclusive dealership of the Company is expected to have an indefinite life and the Group tests the exclusive dealership with an indefinite life for impairment by comparing its recoverable value with its carrying value annually or whenever there is an indication that the intangible assets may be impaired.

3.8.4.2 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (note 18.4)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.3 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 4.8.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 Amortisation

Amortization is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Brand distribution agency - 10 years

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

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3.10 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be

paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.2.2 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined

benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans immediately in the other comprehensive income as they occur.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14 Revenue

a) *Sale of goods*

The group is engaged in the business of importing, blending and marketing of fertilizer products, formulating and marketing of chemicals, producing, trading and marketing of seeds, planting materials and other grains and in exporting agricultural based products.

The Group shall recognise revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) *Interest Income*

Interest income is recognized on a time-proportion basis using the effective interest method.

c) *Dividend income*

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared

d) *Rental income*

Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability. The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) *Others*

Other income is recognized on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Company of similar transactions which are not material, are aggregated, reported and presented on a net basis.

3.15 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 Finance income /(expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss and gains on the disposal of interest generating investments whether classified under fair value through profit or loss.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

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When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 Income tax expense

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to

the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.18.1 Current Tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.19 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.20 Statement of Cash flows

The statement of cash flows is reported based on the "indirect method".

3.21 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for

the effects of all dilutive potential ordinary shares.

3.22 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in note 32 and 33 to the financial statements.

3.23 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed and adjusted where applicable.

3.24 Common Control Combination

The net assets of the combining entities or businesses are consolidated using the existing book values from the controlling parties' perspective and assets and liabilities of the acquired entity or business have recorded at the book values as stated in the financial statements of the controlling party.

No amount is recognised as consideration for goodwill or excess of acquirer's interest in the net fair value of acquiree's identifiable assets, liabilities and contingent liabilities over cost at the time of common control combination, to the extent of the continuation of the controlling party or parties' interests. And the comparative amounts in the financial statements are disclosed in note 19.2 as if the entities or businesses

had been combined at the previous balance sheet date unless the combining entities or businesses first came under common control at a later date.

4. Standard issued but not yet effective

A number of new standards are effective for annual periods beginning after 1 January 2020 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these financial statements. The following amended standards and interpretations are not expected to have a significant impact on the Group's financial statements:

- Onerous Contracts - Cost of fulfilling a contract (Amendments to LKAS 37);
- Interest Rate Benchmark Reform - Phase 2 (Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4, SLFRS 16);
- Other standards
- Covid-19 Related Rent Concessions (Amendments to SLFRS 16)
- Property, Plant and Equipment: Proceeds before Intended Use (Amendments to LKAS 16)
- Reference to Conceptual Framework (Amendments to SLFRS 3)
- Classification of Liabilities as Current or Noncurrent (Amendments to LKAS 1)
- Annual improvements to SLFRS standards 2018 - 2020, which are not effective as at reporting date

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

5 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorized under this.

Processing - This segment includes the items which are further processed at the Company before sold.

For the year ended 31st March,	2021			2020		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	1,662,253,930	1,948,891,344	3,611,145,274	452,504,494	1,282,336,670	1,734,841,164
Cost of sales	(1,303,328,188)	(1,303,615,501)	(2,606,943,689)	(307,536,693)	(704,043,711)	(1,011,580,404)
Gross profit	358,925,742	645,275,843	1,004,201,585	144,967,801	578,292,959	723,260,760
Unallocated income and expenses						
Other income			25,513,247			31,995,310
Selling and distribution expenses			(128,725,535)			(117,723,804)
Administrative expenses			(289,655,978)			(286,324,978)
Other expenses			-			(91,384,606)
Operating profit			611,333,319			259,822,682
Net finance costs			(34,880,345)			(54,326,995)
Profit before tax			576,452,974			205,495,687
Income tax expense			(84,077,757)			(63,977,014)
Profit for the year from continuing operations			492,375,217			141,518,673

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

6 Revenue

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Sale of goods	3,611,145,274	1,734,841,164	2,894,569,434	1,267,997,542
	3,611,145,274	1,734,841,164	2,894,569,434	1,267,997,542

Revenue of the Company consist of local sales of fertilizers and agri machineries, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, crop care products and other local sales

7 Other income

For the year ended 31st March,	Note	Group		Company	
		2021	2020	2021	2020
Dividend income	7.1	-	-	49,999,992	64,999,995
Change in fair value of investment property	16	-	-	6,354,623	-
Amortization of deferred income	27	1,494,432	1,494,432	1,494,432	1,494,432
Used bag sales		15,084,809	9,530,130	15,084,809	9,530,130
Solar power income		3,958,656	-	3,864,078	-
Reversal of trade receivable written off		3,350,280	2,984,992	3,178,630	2,984,992
Rent income		-	-	9,258,000	-
Sundry income		1,625,070	17,985,756	338,080	4,161,859
Total of other income		25,513,247	31,995,310	89,572,644	83,171,408

7.1 Dividend income

- Unquoted		-	-	49,999,992	64,999,995
		-	-	49,999,992	64,999,995

8 Other expenses

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Buildings demolished	-	80,618,049	-	-
Provision for impairment of investment in AgStar Exports (Pvt) Ltd	-	-	7,800,000	1,250,000
Impairment/ write off of other receivables	-	10,766,557	-	6,791,557
Total	-	91,384,606	7,800,000	8,041,557

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(All amounts in Sri Lankan Rupees)

9 Net finance costs

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Finance income				
Interest income on FCBU	795,823	2,645,967	-	-
Interest income on deposits	3,864,398	7,135,932	3,694,668	6,834,945
Interest income on Repo investment	918,738	850,091	721,642	850,091
Gain on translation of foreign currency	32,910,946	40,075,494	35,193,215	34,436,124
Total finance income	38,489,905	50,707,484	39,609,525	42,121,160
Finance costs				
Interest expense on loans	71,413,878	102,503,062	65,601,479	93,818,676
Interest expense on bank overdraft	1,365,403	2,155,266	792,054	1,290,639
Interest expense on lease liability	590,969	376,151	280,695	276,807
Total finance costs	73,370,250	105,034,479	66,674,228	95,386,122
Net finance income costs recognized in profit or loss	(34,880,345)	(54,326,995)	(27,064,703)	(53,264,962)

10 Profit before tax from continuing operations

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
Stated after charging all expenses including the following :					
Directors' emoluments		24,014,952	31,434,570	24,014,952	31,434,570
Auditors' remuneration - Statutory audit		1,200,000	1,100,000	580,000	500,000
Employee benefit expenses	10.1	209,159,624	194,675,615	148,770,214	144,500,433
Depreciation	15	48,074,332	50,550,967	37,570,253	33,373,903
Amortisations of intangible assets	18	1,396,160	1,064,470	749,134	8,958
Amortisations of right of use assets	17.1	1,294,816	1,075,440	16,059,492	48,059,492
Impairment loss on inventory	20.1	2,554,719	1,048,466	-	-
Donation		6,000	-	6,000	-
Subsidy write off	21.2	-	9,123,630	-	9,123,630
Trade receivable write off		13,737,179	34,385,039	7,250,355	29,812,168
Impairment reversal on trade receivables	21.3	(366,195)	(14,221,591)	(4,162,789)	(19,426,037)
Legal expenses		10,347,336	7,170,249	6,397,983	4,583,472

10.1 Employee benefit expenses

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
Salaries, wages and other related cost		185,798,931	169,213,408	125,421,045	119,274,949
Contributions to defined contribution plans		16,733,554	18,913,690	16,733,554	18,713,015
Provision for retirement benefit obligations	26.1	6,627,139	6,548,517	6,615,615	6,512,469
Total of employee benefit expenses		209,159,624	194,675,615	148,770,214	144,500,433
Number of employees		179	161	178	158

11 Income tax expense

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
Current tax expense - continuing operations					
Taxation on profit for the year	11.1	22,458,459	9,689,378	-	-
Economic service charge not recoverable written off		738,756	973,242	-	-
(Over)/under provision in respect of previous year		(24,515)	6,038	-	-
		23,172,700	10,668,658	-	-
Deferred tax expense					
Origination of temporary differences	28.1/28.2	101,161,707	63,420,833	93,392,261	67,912,820
Reduction in tax rate	28.1/28.2	(40,256,650)	-	(45,127,167)	-
Recognition of previously unrecognised tax losses	28.1	-	(10,112,477)	-	-
Income tax expense on continuing operations		84,077,757	63,977,014	48,265,094	67,912,820
Current tax expense					
Economic service charge not recoverable written off		969,980	2,122,048	-	-
Income tax expense on discontinued operations		969,980	2,122,048	-	-

As instructed by the Ministry of Finance on 31st January 2020, changes to the current tax rate was proposed as below, pending formal amendments being made to the Act and to be implemented with effect from 01st January, 2020. The Bill to amend the Inland Revenue Act No. 24 of 2017 was gazetted and issued on 18th March 2021. The Bill was presented at the Parliament for first reading and approved on 26th March 2021. Accordingly, tax rates of 14% for Agro processing income, 18% for income from manufacturing and 24% for other business income have been considered to be substantially enacted as at reporting date for the current and deferred tax computations for the year ended 31st March 2021. The taxable income for the first three quarters for the year ended 31st March, 2020 has been calculated at a tax rate of 28%.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

11 Income tax expense Contd.

11.1 Reconciliation between current tax expense and the accounting profit

For the year ended 31st March,	Note	Group 2021	Group 2020	Company 2021	Company 2020
Profit before taxation - continuing operations		576,452,974	205,495,687	503,511,035	261,232,652
Loss before taxation - discontinuing operations	12.1	(16,274,357)	(1,407,640)	-	-
Consolidation adjustments		54,486,500	87,693,632	-	-
Adjusted profit before tax		614,665,117	291,781,679	503,511,035	261,232,652
Non business income		(63,402,975)	(100,498,503)	(62,265,357)	(74,179,463)
Aggregate allowable expense		(232,064,953)	(87,541,994)	(206,404,030)	(29,626,118)
Aggregate disallowable expense		203,711,731	130,533,872	171,149,041	17,100,064
Subsidy adjustment	11.3	(1,147,863,393)	(886,193,980)	(1,147,863,393)	(886,193,980)
Tax loss of group companies for the year		754,818,382	720,991,600	-	-
Statutory income / (loss) from business		129,863,909	69,072,674	(741,872,704)	(711,666,845)
Non-business income liable to tax		55,553,920	75,975,750	54,416,302	72,685,031
Taxable loss utilized during the year		(68,448,173)	(107,053,368)	(54,416,302)	(72,685,031)
Taxable income/(loss)		116,969,656	37,995,056	(741,872,704)	(711,666,845)
Income Tax @ 14%		18,489	12,032	-	-
Income Tax @ 18%		16,803,159	1,682,077	-	-
Income Tax @ 24%		5,636,811	16,307	-	-
Income Tax @ 28%		-	7,978,962	-	-
Tax on profit for the year		22,458,459	9,689,378	-	-
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		22,458,459	9,689,378	-	-
		22,458,459	9,689,378	-	-
Tax loss reconciliation: Continuing operations					
Tax loss brought forward		2,766,170,180	2,131,955,233	2,694,846,111	2,056,972,914
Adjustment to tax loss brought forward		1,763,910	24,278,755	2,418	(1,108,617)
Loss incurred during the year		749,535,876	716,989,560	741,872,704	711,666,845
Loss utilised during the year		(61,684,999)	(107,053,368)	(54,416,302)	(72,685,031)
Tax loss carried forward		3,455,784,967	2,766,170,180	3,382,304,931	2,694,846,111
Tax loss reconciliation: Discontinued operations					
Tax loss brought forward		228,380,178	226,480,178	-	-
Adjustment to tax loss brought forward		894,408	-	-	-
Loss incurred during the year		-	1,900,000	-	-
Loss utilised during the year - continuing operation		(6,763,174)	-	-	-
Tax loss carried forward		222,511,412	228,380,178	-	-

- Tax status of companies in the Group which are enjoying income tax exemptions are given in note 11.2

11.2 Companies exempt from income tax

Company	Statute	Period
AgStar Grains (Pvt) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

11.3 The company records subsidy receivable on cash basis in the computation of income tax

12 Discontinued operations

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Pvt) Ltd (previously named as Mahaweli Rice Processing Industries (Pvt) Ltd and AgStar Grains (Pvt) Ltd. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

12.1 Loss after tax from discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2021	2020	2021	2020
Revenue		-	-	-	-
Cost of sales		-	-	-	-
Gross loss		-	-	-	-
Other income		-	334,152	-	-
Selling and distribution expenses		-	-	-	-
Administrative expenses		(846,883)	(1,450,130)	-	-
Reversal/(provision) for impairment of receivables		(3,565,754)	1,870,972	-	-
Inventory write off		(2,011,720)	-	-	-
Impairment of property, plant and equipment		(9,850,000)	(1,900,000)	-	-
Operating loss		(16,274,357)	(1,145,006)	-	-
Finance income		-	-	-	-
Finance costs		-	(262,634)	-	-
Net finance costs		-	(262,634)		
Loss before tax from discontinued operations		(16,274,357)	(1,407,640)		
Tax expense:					
Current tax	11	(969,980)	(2,122,048)	-	-
Deferred tax		-	-	-	-
Loss for the year from discontinued operations		(17,244,337)	(3,529,688)		
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		(17,244,337)	(3,529,688)	-	-

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(All amounts in Sri Lankan Rupees)

12 Discontinued operations Contd.

12.2 Major Classes of Assets and Liabilities

For the year ended 31st March,	Note	Group 2021	2020	Company 2021	2020
Classified as Held for Sale					
Assets					
Property, plant and equipment	12.2.1	174,836,098	502,546,483	-	260,832,550
Right of use asset	12.2.2	-	1,951,109	-	-
Inventories		4,826,195	6,837,914	-	-
Trade and other receivables		-	631,334	-	-
Cash in hand and cash at bank		1,077,913	1,078,929	-	-
Assets classified as held for sale		180,740,206	513,045,769	-	260,832,550
Liabilities					
Loans and borrowings		-	-	-	-
Trade and other payables		490,438	264,570	-	-
Lease liabilities	12.2.2	-	1,956,743	-	-
Deferred tax liabilities		-	-	-	-
Amount due to related companies		-	-	-	-
Bank overdrafts		-	-	-	-
Liabilities directly associated with assets held for sale		490,438	2,221,313	-	-
Net assets directly associated with disposal group		180,249,768	510,824,456	-	260,832,550

12.2.1 Movement in property, plant and equipment held for sales

Net carrying amount as at 31st March 2020		502,546,483	504,446,483	260,832,550	260,832,550
Assets transferred to property, plant and equipment		(317,860,385)	-	(260,832,550)	-
Impairment		(9,850,000)	(1,900,000)	-	-
Net carrying amount as at 31st March 2021		174,836,098	502,546,483	-	260,832,550

12.2.2 Lease arrangements

Right of use asset					
As at the beginning of the year		1,951,109	-	-	-
Adjustment on initial application of SLFRS 16		-	1,951,109	-	-
Transferred out from assets held for sale		(1,951,109)	-	-	-
Balance as at end of the year		-	1,951,109	-	-
Lease liability					
As at the beginning of the year		1,956,743	-	-	-
Adjustment on initial application of SLFRS 16		-	1,951,109	-	-
Transferred out from liabilities held for sale		(1,956,743)	-	-	-
Interest amortized for the year		-	261,634	-	-
Re-payment		-	(256,000)	-	-
Balance as at end of the year		-	1,956,743	-	-

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
12.3	Cash flows generated from/(used in) discontinued operations				
	Net cash flow (used in)/ from operating activities	(1,016)	746,608	-	-
	Net cash used in investing activities	-	-	-	-
	Net cash used in financing activities	(563,200)	(256,000)	-	-
	Net cash (outflow) /inflow	(564,216)	490,608	-	-
12.4	Earnings per share				
	Loss per share for the year from discontinued operations	(0.05)	(0.01)	-	-

12.5 Transfer from assets held for sale to property, plant and equipment

The Group resolved to utilize the land and buildings for operational purposes. As a result, the Board decided to transfer the land and buildings owned by AgStar PLC and Mahaweli Agro Trading (Pvt) Ltd classified as held for sale to property, plant, and equipment effective from March 31, 2021.

12.6 Impairment losses relating to the disposal group

Note 12.1 includes impairment loss of Rs 9,850,000 recognized as provision of the disposal group to the lower of its carrying amount and its fair value less costs to sell. The impairment provision have been applied to reduce the carrying value of property, plant, and equipment within the disposal group.

12.7 Measurement of fair values

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

(All amounts in Sri Lankan Rupees)

12.7 Measurement of fair values Contd.

Fair value measurement hierarchy

Assets and liabilities measured at fair value - Recurring

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

13 Basic earnings per share

Basic earnings per share is calculated, based on the net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding as given below.

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Profit attributable to ordinary shareholders (Rs.)	476,259,142	137,988,985	455,245,941	193,319,832
Number of ordinary shares at 31st March	325,000,000	325,000,000	325,000,000	325,000,000
Earnings per share (Rs.)	1.47	0.42	1.40	0.59

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

14 Dividend per share

For the year ended 31st March,	No of shares	Group/ Company	
		2021	2020
Final dividend paid			
Voting shares	307,526,310	-	61,505,262
Non-voting (Class X) shares	17,473,690	-	3,494,738
	325,000,000	-	65,000,000
Dividend per share (Rs.)		-	0.20

The Directors have proposed a final dividend payment of Rs. 0.20 per share for the year ended 31st March 2021 to be approved at the Annual General Meeting. The dividends have not been recognised as liabilities and there are no tax consequences.

	No of shares	Total Dividend Rs.
Voting shares	307,526,310	61,505,262
Non-voting (Class X) shares	17,473,690	3,494,738
	325,000,000	65,000,000

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment- Company

	Land	Building on lease hold land	Building	Plant and machinery
Cost / valuation				
Balance as at 1st April 2019	197,000,000	21,200,000	78,803,012	97,021,161
Additions during the year	-	-	4,304,234	223,200
Surplus on revaluation	17,000,000	8,180,465	8,832,591	-
Adjustment on revaluation	-	(2,580,465)	(9,739,837)	-
Balance as at 31st March 2020	214,000,000	26,800,000	82,200,000	97,244,361
Balance transferred on amalgamation	846,700,000	-	240,500,000	317,334
Additions during the year	-	-	-	621,000
Surplus on revaluation	-	-	-	-
Adjustment on revaluation	-	-	-	-
Revaluation of assets transfer to investment property	-	-	2,934,399	-
Adjustment on transfer from assets held for sale	26,200,000	-	12,727,450	-
Transfer from assets held for sale	63,800,000	-	197,032,550	-
Reclassification to investment property	(71,000,000)	-	(87,971,028)	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2021	1,079,700,000	26,800,000	447,423,371	98,182,695
Accumulated Depreciation				
Balance as at 1st April 2019	-	1,520,465	5,630,510	64,885,722
Charge for the year	-	1,060,000	4,109,327	9,026,678
Adjustment on revaluation	-	(2,580,465)	(9,739,837)	-
Balance as at 31st March 2020	-	-	-	73,912,400
Charge for the year	-	1,340,000	9,149,441	6,537,941
Adjustment on revaluation	-	-	-	-
Disposals / write off	-	-	-	-
Balance as at 31st March 2021	-	1,340,000	9,149,441	80,450,341
Net carrying amount as at 31st March 2021	1,079,700,000	25,460,000	438,273,930	17,732,354
Net carrying amount as at 31st March 2020	214,000,000	26,800,000	82,200,000	23,331,961

	Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipment	Solar power	Capital work in progress	Total
	70,598,136	16,506,596	4,512,572	3,399,112	37,971,403	-	4,545,909	531,557,901
	-	1,346,461	267,341	-	390,807	-	725,492	7,257,535
	-	-	-	-	-	-	-	34,013,056
	-	-	-	-	-	-	-	(12,320,302)
	70,598,136	17,853,057	4,779,913	3,399,112	38,362,210	-	5,271,401	560,508,190
	-	-	-	-	359,230	-	256,801,736	1,344,678,300
	10,050,000		74,401	441,250	2,553,139	126,451,476	117,368,585	257,559,851
	35,479,244	-	-	-	-	-	-	35,479,244
	(39,927,380)	-	-	-	-	-	-	(39,927,380)
	-	-	-	-	-	-	-	2,934,399
	-	-	-	-	-	-	-	38,927,450
	-	-	-	-	-	-	-	260,832,550
	-	-	-	-	-	-	-	(158,971,028)
	-	-	-	-	(1,128,495)	-	-	(1,128,495)
	76,200,000	17,853,057	4,854,314	3,840,362	40,146,084	126,451,476	379,441,722	2,300,893,081
	20,346,425	14,344,811	3,694,613	2,902,254	27,349,908	-	-	140,674,708
	13,132,803	890,687	328,945	222,157	4,603,306	-	-	33,373,903
	-	-	-	-	-	-	-	(12,320,302)
	33,479,228	15,235,498	4,023,558	3,124,411	31,953,214	-	-	161,728,309
	13,398,152	662,723	377,376	313,351	4,362,006	1,429,263	-	37,570,253
	(39,927,380)							(39,927,380)
	-	-	-	-	(1,128,495)	-	-	(1,128,495)
	6,950,000	15,898,221	4,400,934	3,437,762	35,186,725	1,429,263	-	158,242,687
	69,250,000	1,954,836	453,380	402,600	4,959,359	125,022,213	379,441,722	2,142,650,394
	37,118,908	2,617,559	756,355	274,701	6,408,996	-	5,271,401	398,779,881

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment - Group

	Land	Building on lease hold land	Building	Improvements on lease hold Building	Plant and machinery
Cost / valuation					
Balance as at 1st April 2019	1,005,000,000	21,200,000	407,594,175	493,925	121,352,105
Additions during the year	-	-	4,304,234	360,810	823,973
Surplus on revaluation	55,700,000	8,180,465	27,603,114	-	-
Disposals / write off	-	-	(90,026,433)	-	-
Adjustment on revaluation	-	(2,580,465)	(41,259,666)	-	-
Transfers	-	-	14,484,576	-	-
Balance as at 31st March 2020	1,060,700,000	26,800,000	322,700,000	854,735	122,176,078
Acquisition of subsidiary*				2,578,190	20,271,977
Additions during the year	-	-	-	-	671,500
Surplus on revaluation	-	-	-	-	-
Adjustment on revaluation	-	-	-	-	-
Adjustment on transfer from assets held for sale	26,200,000	17,387,202	10,727,113	-	-
Transfer from assets held for sale	63,800,000	56,623,135	197,032,550	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2021	1,150,700,000	100,810,337	530,459,663	3,432,925	143,119,555
Accumulated depreciation					
Balance as at 1st April 2019	-	1,520,465	32,448,564	493,925	84,607,911
Charge for the year	-	1,060,000	18,219,486	45,101	11,493,607
Disposals / write off	-	-	(9,408,384)	-	-
Adjustment on revaluation	-	(2,580,465)	(41,259,666)	-	-
Balance as at 31st March 2020	-	-	-	539,026	96,101,518
Charge for the year	-	1,340,000	16,815,730	133,173	8,357,595
Disposals / write off	-	-	-	-	-
Adjustment on revaluation	-	-	-	-	-
Balance as at 31st March 2021	-	1,340,000	16,815,730	672,199	104,459,113
Net carrying amount as at 31st March 2021	1,150,700,000	99,470,337	513,643,933	2,760,726	38,660,442
Net carrying amount as at 31st March 2020	1,060,700,000	26,800,000	322,700,000	315,709	26,074,560

* Refer note 19.3 on the additions of property, plant, and equipment on acquisition of Euro Asia Tea (Pvt) Ltd.

	Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipment	Solar power	Capital work in progress	Total
	70,598,136	18,220,372	4,854,766	3,571,012	40,724,396	-	24,595,263	1,718,204,151
	-	1,656,074	267,341	-	840,157	-	154,934,834	163,187,423
	-	-	-	-	-	-	-	91,483,579
	-	-	-	-	-	-	-	(90,026,433)
	-	-	-	-	-	-	-	(43,840,131)
	-	-	-	-	-	-	(14,484,576)	-
	70,598,136	19,876,446	5,122,107	3,571,012	41,564,553	-	165,045,521	1,839,008,589
	7,138,000	206,000	4,762,025	2,170,760	1,275,800	-	-	38,402,752
	2,912,000	-	110,940	441,250	2,771,128	132,925,364	214,396,201	354,228,383
	35,479,244	-	-	-	-	-	-	35,479,244
	(39,927,380)	-	-	-	-	-	-	(39,927,380)
	-	-	-	-	-	-	-	54,314,315
	-	-	-	-	-	-	404,700	317,860,385
	-	-	-	-	(1,128,495)	-	-	(1,128,495)
	76,200,000	20,082,446	9,995,072	6,183,022	44,482,986	132,925,364	379,846,422	2,598,237,793
	20,346,425	15,217,635	4,036,808	3,074,156	29,091,424	-	-	190,837,311
	13,132,803	1,107,363	328,945	222,157	4,941,505	-	-	50,550,967
	-	-	-	-	-	-	-	(9,408,384)
	-	-	-	-	-	-	-	(43,840,131)
	33,479,228	16,324,998	4,365,753	3,296,313	34,032,929	-	-	188,139,763
	13,398,152	875,141	491,288	433,937	4,735,314	1,494,002	-	48,074,332
	-	-	-	-	(1,128,495)	-	-	(1,128,495)
	(39,927,380)	-	-	-	-	-	-	(39,927,380)
	6,950,000	17,200,139	4,857,041	3,730,250	37,639,748	1,494,002	-	195,158,220
	69,250,000	2,882,307	5,138,031	2,452,772	6,843,238	131,431,362	379,846,422	2,403,079,573
	37,118,908	3,551,448	756,354	274,699	7,531,624	-	165,045,521	1,650,868,826

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment Contd. 15.1 Information on the land and buildings of the Group

	Revalued Date	Land extent (Perches)	Building (Square feet)	Cost or revaluation of land	Cost or revaluation of buildings	Total value	Accumulated depreciation	Net book value of the buildings	Total net book value
Land and building held under company and group									
Borella	31st March 2020	16.32	6,460	195,800,000	50,400,000	246,200,000	(2,580,152)	47,819,848	243,619,848
Bawa Place, Colombo 08									
Dambulla	31st March 2020	63.75	10,165	18,200,000	31,800,000	50,000,000	(1,590,000)	30,210,000	48,410,000
Ihalakatupotha Watta, Pannampitiya Village, Lenadora									
Ekala	31st March 2020	1,539.55	99,410	846,700,000	240,500,000	1,087,200,000	(12,645,578)	227,854,422	1,074,554,422
No.93, Minuwangoda Road, Ekala									
Building on lease hold land									
Polonnaruwa	31st March 2020	-	7,970	-	26,800,000	26,800,000	(1,340,000)	25,460,000	25,460,000
Ambalamkele									
Land and buildings transferred out from assets held for sale									
Anuradhapura	31st March 2020	579.22	59,864	90,000,000	209,760,000	299,760,000	-	209,760,000	299,760,000
Puliyankulama									
Building on lease hold land									
Sandunpura, Dehiattakandiya	31st March 2020	-	41,600	-	72,010,000	72,010,000	-	72,010,000	72,010,000

- The lands and buildings at Borella, Anuradapura, Dambulla and Ekala belong to AgStar PLC and valued by an Independent valuer Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land and buildings as at 31st March 2020. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16.

Land and buildings transferred out from assets held for sale

The properties transferred out from held for sales category has been valued by Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value as at 31st March 2021. No impairment has been identified during the transfer and the revaluation gain identified has been recognised under revaluation reserve.

- The Group have not pledged any property, plant and equipment as security for liabilities or have temporary idle assets as at 31st March 2021

15.2 Motor vehicles

The Group has revalued its motor vehicles as at 30th September 2020 by an independent professional valuer De Silva Motor Engineers (Pvt) Ltd (registration no. PV70496).

15.3 The carrying amount of revalued land, buildings and motor vehicles if they were carried at cost less depreciation, would be as follows;

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Cost				
Land	949,714,240	402,587,520	949,714,240	103,014,240
Buildings	572,354,627	478,352,671	503,441,950	262,941,950
Motor vehicles	80,648,137	70,598,136	80,648,137	70,598,136
	1,602,717,004	812,027,515	1,533,804,327	436,554,326
Accumulated depreciation				
Buildings	(82,706,306)	(79,694,701)	(56,347,093)	(25,035,792)
Motor vehicles	(46,931,376)	(33,479,228)	(46,931,376)	(33,479,228)
	(129,637,682)	(113,173,929)	(103,278,469)	(58,515,020)
Carrying value	1,473,079,322	698,853,586	1,430,525,858	378,039,306

15.4 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to,

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Fully depreciated property, plant and equipment	117,134,532	86,174,904	105,692,779	81,723,431

15.5 Property, plant and equipment under construction

The Board approved the construction of an additional 83,000 sq.ft. of warehousing space and 10,880 sq.ft new admin building in Ekala. The Group commenced construction and costs incurred up to 31st March 2021 totalled Rs. 372.5 Mn (2020 - Rs. 160.5 Mn). Including in this amount are capitalised borrowing costs related to the construction of the warehouse and admin building of Rs. 25.1 Mn, calculated using average capitalisation rate of 6.5%.

15.6 Transfer to investment property

During the year, part of the buildings were transferred to investment property, since the properties have been leased to the related companies in the Group

Immediately before the transfer, the Company remeasured the property to fair value and recognised a gain of Rs. 2.9 Mn in other comprehensive income. The valuation techniques and significant unobservable inputs used in measuring the fair value of the building at the date of transfer were the same as those applied to investment property at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment Contd.

15.7 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2021	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,763,814,270	1,763,814,270
Motor vehicles			69,250,000	69,250,000
	-	-	1,763,814,270	1,763,814,270

31st March 2020	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,410,200,000	1,410,200,000
	-	-	1,410,200,000	1,410,200,000

Assets and liabilities measured at fair value - Recurring

Property	No of Buildings	Method of valuation	Significant unobservable inputs		
			Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building					
Borella	1 building	Market comparable method	Rs. 12,000,000	Rs. 9,750	Positive
Dambulla	4 buildings	Market comparable method	Rs. 285,000	Rs. 3,500 - Rs. 4,750	Positive
Ekala	10 buildings	Market comparable method	Rs. 550,000	Rs. 3,250 - Rs. 6,250	Positive
Building on lease hold land					
Polonnaruwa	1 building	Market comparable method	-	Rs. 4,750 - Rs. 5,250	Positive

Property	Method of valuation	Significant unobservable inputs	
		Estimated value	Correlation to fair value
Motor vehicles	Market comparable method	Rs. 69,250,000	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

16 Investment property

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
Balance at the beginning of the year	-	-	-	-
Reclassification from property plant and equipment	-	-	158,971,028	-
Change in fair value during the year	-	-	6,354,623	-
Balance at the end of the year	-	-	165,325,651	-
		Land	Buildings	Total
Reclassification from property plant and equipment		71,000,000	87,971,028	158,971,028
Change in fair value during the year		-	6,354,623	6,354,623
Balance at the end of the year		71,000,000	94,325,651	165,325,651

The Company has rented out part of the land and building at Anuaradhapura and Ekala respectively to other companies in the Group for operation purposes. The income generated from these investment properties are disclosed under note no 7 as 'Rent income'.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

16 Investment property Contd.

16.1 Measurement of fair value

a) Fair value hierarchy

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2021	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	165,325,651	165,325,651
	-	-	165,325,651	165,325,651

b) Valuation technique and significant unobservable inputs

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Ekala	Market comparable method	Rs. 550,000	Rs. 3,950 - Rs. 6,500	Positive
Anuradhapura	Market comparable method	Rs. 200,000	Rs. 5,250 - Rs. 5,500	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available, and depreciated replacement cost when appropriate. Depreciated replacement cost reflects adjustments for physical deterioration as well as functional and economic obsolescence.

17 Lease arrangements

For the year ended 31st March,	Group		Company	
	2021	2020	2021	2020
17.1 Right of use assets				
Land and buildings				
Balance at the beginning of the year	3,520,826	-	17,888,878	-
Initial applications of SLFRS 16	-	1,948,370	-	65,948,370
Transferred from assets held for sale	1,951,109	-	-	-
Additions during the year	-	2,647,896	-	-
Adjustment on remeasurement of lease liability	3,005,145	-	-	-
	8,477,080	4,596,266	17,888,878	65,948,370
Amortisation recognised in the Statement of Profit or Loss	(1,294,816)	(1,075,440)	(16,059,492)	(48,059,492)
Balance as at end of the year	7,182,264	3,520,826	1,829,386	17,888,878
17.2 Lease liabilities				
Balance at the beginning of the year	2,788,417	-	2,225,177	-
Initial applications of SLFRS 16	-	1,948,370	-	1,948,370
Transferred from assets held for sale	1,956,743	-	-	-
Additions during the year	-	2,647,896	-	-
Adjustment on remeasurement of lease liability	3,005,145	-	-	-
	7,750,305	4,596,266	2,225,177	1,948,370
Interest amortised recognised in the Statement of Profit or Loss	590,969	376,151	280,695	276,807
Payment recognised in the Statement of Cash Flows	(1,663,200)	(2,184,000)	(500,000)	-
Balance as at end of the year	6,678,074	2,788,417	2,005,872	2,225,177
Maturity analysis of lease liabilities - contractual undiscounted cash flows				
Less than one year	569,700	1,100,000	262,500	500,000
One to five years	3,010,755	1,338,750	1,351,875	1,338,750
More than five year	18,512,325	8,993,925	8,718,300	8,993,925
	22,092,780	11,432,675	10,332,675	10,832,675
Lease liabilities included in the statement of financial position				
Current	80,396	782,545	22,360	219,305
Non-current	6,597,678	2,005,872	1,983,512	2,005,872
	6,678,074	2,788,417	2,005,872	2,225,177

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

18 Intangible assets

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
18.1 Software and website					
Balance at the beginning of the year		5,981,869	-	421,042	-
Balance transferred on amalgamation		-	-	4,919,194	-
Acquisition of subsidiary	19.3	323,604	-	-	-
Additions during the year		-	6,846,339	-	430,000
Amortisation		(1,396,160)	(864,470)	(749,134)	(8,958)
Balance as at end of the year		4,909,313	5,981,869	4,591,102	421,042
18.2 Trademark					
Balance at the beginning of the year		-	200,000	-	-
Amortisation		-	(200,000)	-	-
Balance as at end of the year		-	-	-	-
18.3 Exclusive Dealership - Tohoku Seed					
Balance at the beginning of the year		-	-	-	-
Additions during the year		50,000,000	-	-	-
Balance as at end of the year		50,000,000	-	-	-
18.4 Goodwill on acquisition					
Balance at the beginning of the year		56,425,992	56,425,992	-	-
Impairment during the year		-	-	-	-
Balance as at end of the year		56,425,992	56,425,992	-	-
Net carrying amount as at 31st March		111,335,305	62,407,861	4,591,102	421,042

Software and website

Software includes SAGE 300 accounting package purchased by AgStar Properties (Pvt) Ltd and the website developed by Euro Asia Tea (Pvt) Ltd

Trademark

During the year ended 31st March 2015, AgStar Seeds (Pvt) Ltd acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West of France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole of Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co- branding (GSN) to be able to write Seram Agro name on label and to include its logo.

Exclusive Dealership - Tohoku Seed

The AgStar Seeds (Pvt) Ltd, acquired the exclusive dealership of Tohoku Seed in Sri Lanka and thereby the rights to import, distribute and sell the varieties of hybrid vegetable seeds, supplied by Tohoku, to Sri Lanka and rights to do all other activities ancillary and/or consequential thereto, including trials, demonstrations, communications, promotions, marketing, collections, use of Intellectual Property and other material.

Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Pvt) Ltd

The recoverable amount of Goodwill and exclusive dealership of Tohoku Seed are determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions in the calculation of value in use were given as follows.

- Business growth - Based on the long term average growth rate for each business unit.
- The weighted average growth rate used is consistent with the forecast included in industry reports.
- Inflation - Based on current inflation rate and
- Discount rate - Risk free rate adjusted by adding appropriate risk premium
- Gross margin - Based on past performance and budgeted expectations.
- The Covid-19 impact was considered when determining the recoverable amount of goodwill.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

19 Investments in subsidiaries

As at 31st March,	Company/Group holding		No of shares		Cost as at 31st March	
	2021	2020	2021	2020	2021	2020
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Properties (Pvt) Ltd. (Note 19.2)	100%	100%	35,000,000	35,000,000	-	350,000,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
Euro Asia Tea (Pvt) Ltd.	53.78%	0%	51,000,000	-	51,000,000	-
			154,060,000	103,060,000	727,429,088	1,026,429,088
Provision for fall in value of investments (Note 19.1)					(542,650,000)	(534,850,000)
					184,779,088	491,579,088

- 19.1** The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs. 172.7 million (2020 - Rs. 172.7 million), Rs. 340 million (2020 - Rs. 340 million) and Rs. 29.95 million (2020 - Rs. 22.15 million) respectively.

19.2 Amalgamation with AgStar Properties (Pvt) Ltd

The Board of Directors of AgStar PLC at its meeting held on 30th July 2020 resolved to amalgamate its fully owned subsidiary, AgStar Properties (Pvt) Ltd (APL) with AgStar PLC (the Company). Accordingly, w.e.f 12th October 2020 in accordance with Section 244(i)(a) of the Companies Act No 7 of 2007, APL was amalgamated with AgStar PLC. The Group received the Certificate of Amalgamation on 12th October 2020. As a result, on 12th October 2020, the book values of APL and the Company were amalgamated, and the investment in subsidiary of Rs. 350 million recorded in the Company was set off against the equity of APL.

Effect of Amalgamation - Consolidated Financial Statements

The Amalgamation of APL with AgStar PLC was recognised as Common Control Combination in accordance with Statement of Recommended Practice (SORP) for Merger Accounting for Common Control Business Combinations issued by CA Sri Lanka.

There is no impact on the Consolidated Financial Statements since APL was a fully owned subsidiary of AgStar PLC and continued to be consolidated with AgStar PLC up to the date of amalgamation.

Effect of Amalgamation - Separate Financial Statements of AgStar PLC

AgStar Properties (Pvt) Ltd, fully owned subsidiary of AgStar PLC was in the business of renting out its premises to AgStar PLC, and thereby, earning a rental income from the parent entity. The rent expense of Rs. 4.0 Mn per month and a sum of Rs. 24.0 Mn - until the date of amalgamation was recorded as administrative expenses in the statement of profit or loss in the separate financial statements of AgStar PLC for the year ended 31 March 2021 (2019/2020 - Rs. 48.0 Mn).

The statement of financial position in the separate financial statements of AgStar PLC as at 31 March 2021 include the assets and liabilities of the amalgamated entity AgStar Properties (Pvt) Ltd, as the Company was amalgamated during the year under review. However, the comparative statement of financial position in the financial position of AgStar PLC as at 31 March 2020 excludes the assets and liabilities of the amalgamated entity AgStar Properties (Pvt) Ltd.

The following are the effect of amalgamation of AgStar Properties (Pvt) Ltd on the statement of financial position in the separate financial statements of AgStar PLC on the date of amalgamation - 12 October 2020 - Note 19.2(a), and as at 31 March 2020 had the amalgamation existed as at March 31, 2020 - Note 19.2(b).

(a) Effect of Amalgamation on 12th October 2020

	As at 12th October 2020			
	AgStar PLC	AgStar Properties (Pvt) Ltd	Effect on amalgamation	As restated, amalgamating with APL
	Rs.	Rs.	Rs.	Rs.
Property, plant and equipment	457,885,036	1,344,678,300	1,344,678,300	1,802,563,336
Intangible assets	376,250	4,919,194	4,919,194	5,295,444
Investments in subsidiaries	491,579,088	-	(350,000,000)	141,579,088
Deposits and prepayments	76,220,610	21,108,229	21,108,229	97,328,839
Other taxes recoverable	16,326,920	14,440,964	14,440,964	30,767,884
Amounts due from related companies	545,319,313	-	(285,449,069)	259,870,244
Other assets	3,728,697,191	-	-	3,728,697,191
	5,316,404,408	1,385,146,687	749,697,618	6,066,102,026
Stated capital	1,204,093,678	350,000,000	-	1,204,093,678
Revaluation reserves	196,713,864	-	-	196,713,864
Retained earnings	1,165,121,067	510,628,733	-	1,165,121,067
Balance transferred on amalgamation	-	-	510,628,733	510,628,733
Deferred tax liabilities	133,956,254	200,292,427	200,292,427	334,248,681
Current tax liabilities	-	5,893,463	5,893,463	5,893,463
Bank over draft	26,836,056	16,417,412	16,417,412	43,253,468
Amount due to AgStar PLC	-	285,449,069	-	-
Accruals and other payables	44,109,627	16,465,583	16,465,583	60,575,210
Other liabilities	2,545,573,862	-	-	2,545,573,862
	5,316,404,408	1,385,146,687	749,697,618	6,066,102,026

Since the amalgamation was within the Group, no Goodwill is recognised and upon the merger, the excess was recognised in the statement of changes in equity.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

19 Investments in subsidiaries Contd.

(b) Effect of Amalgamation on 31st March 2020

	Note	Year ended 31 March 2020		
		As previously presented	Effect on amalgamation	As restated, amalgamating with APL
		Rs.	Rs.	Rs.
Property, plant and equipment	15	398,779,881	1,247,796,432	1,646,576,313
Intangible assets	18	421,042	5,560,827	5,981,869
Investments in subsidiaries	19	491,579,088	(350,000,000)	141,579,088
Trade and other receivables	21	3,057,021,564	40,964,830	3,097,986,394
Amounts due from related companies	22	605,074,067	(214,460,031)	390,614,036
Current tax receivable		7,581,839	-	7,581,839
Cash and cash equivalents	23	45,412,064	-	45,412,064
Other assets		485,958,931	-	485,958,931
		5,091,828,476	729,862,058	5,821,690,534
Stated capital		1,204,093,678	-	1,204,093,678
Revaluation reserve		196,713,864	-	196,713,864
Retained earnings		1,123,794,907	-	1,123,794,907
Balance transferred on amalgamation		-	493,548,871	493,548,871
Deferred tax liabilities	28.2	120,522,229	200,292,427	320,814,656
Trade and other payables	29	953,025,733	31,603,432	984,629,165
Bank overdrafts	23	25,022,842	4,417,328	29,440,170
Other liabilities		1,468,655,223	-	1,468,655,223
		5,091,828,476	729,862,058	5,821,690,534

(c) Effect on amalgamation on statement of changes in equity

Balance as at	As at October 12, 2020
Transfer of net assets (on date of amalgamation) of AgStar Properties (Pvt Ltd)	860,628,733
Set-off of investment by AgStar PLC in AgStar Properties (Pvt Ltd)	(350,000,000)
Balance transferred on amalgamation	510,628,733

19.3 Acquisition of Euro Asia Tea (Pvt) Ltd

AgStar PLC acquired a new company with majority of stake 53.78% by investing Rs. 51 Mn in cash on 25th January 2021 and the minority shareholder invested in the form of assets.

The summary of the financial position shown below.

	Rs.
Non-Current Assets	
Property, plant and equipment	38,402,752
Intangible assets	323,604
Current assets	
Other receivables	5,099,782
Cash and cash equivalents	51,000,100
Net assets	94,826,238
Non-controlling interest @ 47.22%	43,826,239

20 Inventories

	Note	Group		Company	
For the year ended 31st March,		2021	2020	2021	2020
Raw materials and consumables		283,187,166	139,211,333	127,508,442	48,805,608
Finished goods		230,271,045	122,082,227	100,245,400	54,969,647
Spare parts		1,650,643	1,366,414	1,650,643	1,366,414
Goods in transit		381,820,631	102,095,834	150,082,709	102,095,834
		896,929,485	364,755,808	379,487,194	207,237,503
Provision for impairment of inventories	20.1	(4,335,288)	(2,068,220)	-	-
		892,594,197	362,687,588	379,487,194	207,237,503

20.1 Provision for impairment of inventories

Balance at the beginning of the year	2,068,220	1,526,861	-	-
Provision during the year	2,554,719	1,048,466	-	-
Write - offs during the year	(287,651)	(507,107)	-	-
Balance at end of the year	4,335,288	2,068,220	-	-

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

21 Trade and other receivables

As at 31st March,	Note	Group 2021	Group 2020	Company 2021	Company 2020
Trade receivables		307,719,919	312,984,015	168,406,253	171,205,965
Tax recoverable	21.1	40,724,736	40,608,491	30,780,281	16,326,918
Other receivables		9,681,282	9,681,282	-	-
Deposits and prepayments		32,600,847	20,264,389	11,685,907	4,951,905
Prepayments to suppliers		57,766,238	7,329,162	22,501,314	1,927,028
Subsidy receivable	21.2	4,020,419,536	2,872,556,143	4,020,419,536	2,872,556,143
General advances		19,347,643	28,936,535	19,347,643	11,199,607
Interest receivable		3,001,370	3,687,557	2,903,332	3,584,961
Staff loan		5,743,260	8,871,186	5,743,260	8,871,186
Sub Total		4,497,004,831	3,304,918,760	4,281,787,526	3,090,623,713
Provision for impairment of trade receivables	21.3	(70,739,835)	(83,620,169)	(29,439,360)	(33,602,149)
Provision for impairment of other receivables	21.4	(9,681,282)	(9,681,282)	-	-
Total of trade and other receivables		4,416,583,714	3,211,617,309	4,252,348,166	3,057,021,564

21.1 Tax recoverable

Withholding tax recoverable		696,262	696,262	331,071	331,071
Economic service charge recoverable		17,668,628	21,714,026	15,995,847	15,995,847
Value added tax recoverable		25,894,022	21,732,378	14,323,916	-
Nation building tax recoverable		440,824	440,825	129,447	-
Provision for Value added tax recoverable		(3,975,000)	(3,975,000)	-	-
Total tax receivables		40,724,736	40,608,491	30,780,281	16,326,918

21.2 Subsidy receivable

Balance at the beginning of the year		2,872,556,143	1,986,362,163	2,872,556,143	1,986,362,163
Additions during the year		3,524,750,340	2,503,588,660	3,524,750,340	2,503,588,660
Receipts during the year		(2,376,886,947)	(1,608,271,050)	(2,376,886,947)	(1,608,271,050)
Write - offs during the year		-	(9,123,630)	-	(9,123,630)
Balance at end of the year		4,020,419,536	2,872,556,143	4,020,419,536	2,872,556,143

21.3 Provision for impairment of trade receivables

Balance at the beginning of the year		83,620,169	97,841,760	33,602,149	53,028,186
Reversal during the year		(366,195)	(14,221,591)	(4,162,789)	(19,426,037)
Write - offs during the year		(12,514,139)	-	-	-
Balance at end of the year		70,739,835	83,620,169	29,439,360	33,602,149

21.4 Provision for impairment of other receivables

Balance at the beginning of the year		9,681,282	9,681,282	-	-
(Reversal)/ provision during the year		-	-	-	-
Balance at end of the year		9,681,282	9,681,282	-	-

22 Related party receivables

As at 31st March,	Group		Company	
	2021	2020	2021	2020
22.1 Amounts due from related companies				
AgStar Cropcare (Pvt) Ltd.	-	-	58,989,850	76,071,170
AgStar Seeds (Pvt) Ltd.	-	-	73,341,474	1,140,532
AgStar Properties (Pvt) Ltd.	-	-	-	214,460,032
AgStar Grains (Pvt) Ltd.	-	-	237,958,823	237,958,823
Mahaweli Agro Trading (Pvt) Ltd	-	-	154,882,067	159,891,229
AgStar Exports (Pvt) Ltd.	-	-	11,598,604	1,775,138
Prith Seeds (Pvt) Ltd.	-	-	6,326,723	2,050,143
Euro Asia Tea (Pvt) Ltd	-	-	2,151,134	-
	-	-	545,248,675	693,347,067
Provision for receivable from AgStar Grains (Pvt) Ltd.	-	-	(88,273,000)	(88,273,000)
	-	-	456,975,675	605,074,067

23 Cash and cash equivalents

As at 31st March,	Note	Group		Company	
		2021	2020	2021	2020
Short term deposits	23.1	63,464,691	57,404,320	44,847,109	40,542,064
Cash in hand		1,099,510	1,084,410	555,410	515,410
Cash at Bank		363,576,086	25,147,936	298,505,178	4,354,590
Cash and cash equivalents in the statements of financial position		428,140,287	83,636,666	343,907,697	45,412,064
Bank overdraft for cash management purposes		(24,098,378)	(31,890,131)	(1,802,342)	(25,022,842)
Cash and cash equivalents classified as held for sale -net	12.2	1,077,913	1,078,929	-	-
Cash and cash equivalents for the purpose of cash flow statements		405,119,822	52,825,464	342,105,355	20,389,222

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

23 Cash and cash equivalents Contd.

As at 31st March,	Interest	Group		Company	
	Rate %	2021	2020	2021	2020
23.1 Short term deposits					
Fixed deposits - Hatton National Bank	8.5	29,228,296	26,324,651	29,228,296	26,324,651
Fixed deposits - Peoples's Bank	5.5	15,618,813	14,217,413	15,618,813	14,217,413
Foreign currency fixed deposits - Sampath Bank	4.0	18,617,582	16,862,256	-	-
		63,464,691	57,404,320	44,847,109	40,542,064

23.2 Securities for bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	Paripasu mortgage bond

24 Stated capital

As at 31st March,	Group / Company	
	2021	2020
Stated Capital	1,204,093,678	1,204,093,678
Issued and fully paid Ordinary shares	325,000,000	325,000,000

The holders of ordinary shares are entitled to receive dividend as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

25 Non-controlling interest

(a) Movements in non-controlling interest (NCI) during the period ended 31st March

As at 31st March,	Group	
	2021	2020
NCI on acquisition of subsidiary	43,826,239	-
Share of net loss of subsidiary	(1,128,262)	-
Balance at the end of the year	42,697,977	-

(b) NCI Percentage for the period ended 31st March

Company name	Ownership interest held by NCI	
	2021	2020
Euro Asia Tea (Pvt) Ltd	46.22%	-

(c) Summarised Financial Statements of Euro Asia Tea (Pvt) Ltd

	25th January 2021	31st March 2021
Statement of Financial Position		
Non-current assets	38,726,356	30,926,430
Current assets	56,099,882	63,870,588
Current liabilities	-	(2,411,984)
Net assets	94,826,238	92,385,034
Carrying amount of NCI	43,826,239	42,697,977
Statement of Profit or Loss and Other Comprehensive Income		
Revenue		-
Loss for the period		(2,441,205)
Other comprehensive income for the period, net of tax		-
Total Comprehensive Income		(2,441,205)
Loss attributable to NCI		(1,128,262)
Other comprehensive income attributable to NCI, net of tax		-
Total comprehensive income attributable to NCI		(1,128,262)

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

26 Employee benefits

As at 31st March,	Group		Company	
	2021	2020	2021	2020
26.1 Movement in net defined benefit obligation				
Balance at the beginning of the year	29,822,983	30,498,640	29,685,028	30,418,101
Include in profit or loss				
Current service cost	3,507,775	3,194,069	3,498,687	3,166,478
Interest cost	3,119,364	3,354,448	3,116,928	3,345,991
	6,627,139	6,548,517	6,615,615	6,512,469
Include in other comprehensive income				
Actuarial loss/(gain)	(583,504)	205,461	(589,114)	184,093
	35,866,618	37,252,618	35,711,529	37,114,663
Other				
Benefits paid	(2,020,167)	(7,429,635)	(1,910,517)	(7,429,635)
Balance at end of the year	33,846,451	29,822,983	33,801,012	29,685,028

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2021. The actuarial present value of the promised retirement benefit as at 31st March 2021 amounted to Rs.33,801,012/- (2020- Rs.29,685,028/-) for the Company and Rs.33,846,451 (2020- Rs.29,822,983) for the Group. The liability is not externally funded.

26.2 Defined benefit obligation - The following were the principal actuarial assumptions at the reporting date.

As at 31st March,	2021	2020
Actuarial assumptions		
Discount rate	8%	10.50%
Future salary growth	5%	7%
Retirement age	55 years	55 years
Mortality	A 66/70 mortality table issued by the Institute of Actuaries, London.	

It is also assumed that the Company will continue in business as a going concern

Duration of the liability (Expected future working life) as at March 31, 2021 is 4.68 years and yield of the matching Government bonds for the given duration is approximately 8%. Duration of the liability (Expected future working life) as at March 31, 2020 was 4.42 years and the yields of the matching Government bonds for the given duration was approximately 10.5%. Hence the reason for the change in the discount rate from 10.5% to 8%.

26.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

As at 31st March,	Group		Company	
	2021	2020	2021	2020
Discount rate				
1% increase	(1,431,262)	(1,163,053)	(1,420,927)	(1,156,263)
1% decrease	1,563,406	1,256,339	1,549,886	1,247,510
Future salary growth rate				
1% increase	1,731,286	1,407,008	1,717,474	1,397,946
1% decrease	(1,609,923)	(1,322,485)	(1,599,243)	(1,315,444)

Although the analysis does not take accounts of the distribution of full cash flows expected under the plan, it does provide approximation of sensitivity of the assumption given.

26.4 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

As at 31st March,	Group		Company	
	2021	2020	2021	2020
Less than one year	5,352,692	5,630,738	5,352,692	5,523,238
Between 1-2 years	2,804,872	4,879,474	2,804,872	4,879,474
Between 3-5 years	16,499,033	13,941,636	16,499,033	13,941,636
Beyond 5 years	9,189,854	5,371,135	9,144,415	5,340,680
Total expected payments	33,846,451	29,822,983	33,801,012	29,685,028
Weighted average duration (years) of define benefit obligation	4.68	4.42	4.68	4.42

27 Deferred income

As at 31st March,	Group		Company	
	2021	2020	2021	2020
Balance at the beginning of the year	2,150,534	3,644,966	2,150,534	3,644,966
Additions during the year	-	-	-	-
Recognised during the year	(1,494,432)	(1,494,432)	(1,494,432)	(1,494,432)
Balance as at end of the year	656,102	2,150,534	656,102	2,150,534

Deferred income represents the gain on disposal of motor vehicles to staff for loan consideration. The deferred income is amortised to profit or loss over the period when the corresponding loan due from staff is charged to profit or loss as an employee benefit.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

28 Deferred tax (assets)/liabilities

As at 31st March,	Group		Company	
	2021	2020	2021	2020
28.1 Deferred tax assets				
Movement in deferred tax assets				
Balance at the beginning of the year	(13,666,218)	(1,253,619)	-	-
Origination/(reversal) of temporary differences recognised in statement of profit or loss				
Continuing operations	352,031	(12,406,616)	-	-
Reduction in tax rate	4,880,792	-	-	-
Origination/(reversal) of temporary differences recognised in other comprehensive income				
Deferred tax on actuarial gain/(loss)	(1,010)	(5,983)	-	-
Balance at the end of the year	(8,434,405)	(13,666,218)	-	-
Composition of deferred tax assets				
Property, plant and equipment	(126,446)	(51,738)	-	-
Right-of-use assets	(102,960)	-	-	-
	(229,406)	(51,738)	-	-
Retirement benefit obligation	8,179	38,627	-	-
Tax losses carried forward	5,533,761	10,112,477	-	-
Provision for inventories	609,649	347,801	-	-
Provision for bad debts	2,512,222	3,219,051	-	-
	8,663,811	13,717,956	-	-
	8,434,405	13,666,218	-	-

As at 31st March,	Group		Company	
	2021	2020	2021	2020
28.2 Deferred tax liabilities				
Movement in deferred tax liabilities				
Balance at the beginning of the year	345,386,849	254,108,020	120,522,229	43,137,299
Balance transferred on amalgamation	-	-	200,292,427	-
Origination/(reversal) of temporary differences recognised in statement of profit or loss				
Continuing operations	109,575,186	65,714,972	93,392,261	67,912,820
Reduction in tax rate	(53,902,952)	-	(45,127,167)	-
Origination/(reversal) of temporary differences recognised in other comprehensive income				
Deferred tax on revaluation surplus	14,711,732	25,615,403	12,470,288	9,523,656
Deferred tax on actuarial gain/(loss)	106,041	(51,546)	106,041	(51,546)
Reduction in tax rate	(69,449,496)	-	(69,449,496)	-
Balance at the end of the year	346,427,360	345,386,849	312,206,583	120,522,229
Composition of deferred tax liabilities				
Property, plant and equipment	(107,435,294)	(115,061,147)	(72,016,309)	(43,151,948)
Right-of-use assets	(1,189,847)	(677,832)	(329,289)	(528,886)
Subsidy receivable	(723,675,516)	(804,315,720)	(723,675,516)	(804,315,720)
Revaluation surplus on land	(134,660,246)	(194,458,588)	(134,660,246)	(41,263,106)
	(966,960,903)	(1,114,513,287)	(930,681,360)	(889,259,660)
Retirement benefit obligation	6,084,182	8,311,808	6,084,182	8,311,808
Lease liabilities	1,202,053	780,757	361,057	623,050
Tax losses carried forward	608,814,888	754,556,911	608,814,888	754,556,911
Provision for inventories	170,703	231,301	-	-
Provision for bad debts	4,261,717	5,245,661	3,214,650	5,245,662
	620,533,543	769,126,438	618,474,777	768,737,431
	(346,427,360)	(345,386,849)	(312,206,583)	(120,522,229)

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

28 Deferred tax (assets)/liabilities Contd.

28.3 Movement in deferred tax balances

Group - 2021	Net balance as at 01 April 2020	Recognized in profit/(loss)	Recognized in OCI	Net balance as at 31st March 2021	Deferred tax assets	Deferred tax liabilities
Property, plant and equipment	(115,112,885)	(12,611,723)	5,060,578	(107,561,740)	(126,446)	(107,435,294)
Right-of-use assets	(677,832)	614,975	-	(1,292,807)	(102,960)	(1,189,847)
Subsidy receivable	(804,315,720)	(80,640,204)	-	(723,675,516)	-	(723,675,516)
Revaluation surplus on land	(194,458,588)	-	(59,798,342)	(134,660,246)	-	(134,660,246)
Retirement benefit obligation	8,350,435	2,153,043	105,031	6,092,361	8,179	6,084,182
Lease liabilities	780,757	(421,296)	-	1,202,053	-	1,202,053
Tax losses carried forward	764,669,388	150,320,739	-	614,348,649	5,533,761	608,814,888
Provision for inventories	579,102	(201,250)	-	780,352	609,649	170,703
Provision for bad debts	8,464,712	1,690,773	-	6,773,939	2,512,222	4,261,717
Net tax assets/(liabilities)	(331,720,631)	60,905,057	(54,632,733)	(337,992,955)	8,434,405	(346,427,360)

Company - 2021	Net balance as at 01 April 2020	Balance transferred on amalgamation	Recognized in profit/(loss)	Recognized in OCI	Net balance as at 31st March 2021	Deferred tax assets	Deferred tax liabilities
Property, plant and equipment	(43,151,948)	47,096,945	(21,051,718)	2,819,134	(72,016,309)	-	(72,016,309)
Right-of-use assets	(528,886)	-	(199,597)	-	(329,289)	-	(329,289)
Subsidy receivable	(804,315,720)	-	(80,640,204)	-	(723,675,516)	-	(723,675,516)
Revaluation surplus on land	(41,263,106)	153,195,482	-	(59,798,342)	(134,660,246)	-	(134,660,246)
Retirement benefit obligation	8,311,808	-	2,121,585	106,041	6,084,182	-	6,084,182
Lease liabilities	623,050	-	261,993	-	361,057	-	361,057
Tax losses carried forward	754,556,911	-	145,742,023	-	608,814,888	-	608,814,888
Provision for bad debts	5,245,662	-	2,031,012	-	3,214,650	-	3,214,650
Net tax assets/(liabilities)	(120,522,229)	200,292,427	48,265,094	(56,873,167)	(312,206,583)	-	(312,206,583)

28.4 Unrecognised deferred tax assets

Deferred tax assets have not been recognized in respect of the temporary differences arising from tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

Group As at 31st March,	Temporary differences		Deferred tax assets	
	2021	2020	2021	2020
AgStar Exports (Pvt) Ltd	37,992,079	30,463,237	6,838,574	8,529,706
Mahaweli Agro Trading (Pvt) Ltd	227,256,254	233,125,020	40,906,126	65,275,006
	265,248,333	263,588,257	47,744,700	73,804,712

28.5 Tax loss carried forward

Tax losses arisen from AgStar PLC can be carried forward as follows;

Balance period	Value (Rs.)
6 years	741,872,704
5 years	711,666,845
4 years	1,732,883,383
3 years	195,881,999
	3,382,304,931

29 Trade and other payables

As at 31st March,	Group		Company	
	2021	2020	2021	2020
Trade payables	3,467,043,971	954,111,682	3,181,947,901	940,186,790
Other payables	94,387,351	29,153,311	83,062,832	7,365,170
Interest payable	-	2,715,892	-	2,488,773
Advance received	2,114,759	4,327,245	-	2,985,000
Total of trade and other payables	3,563,546,081	990,308,130	3,265,010,733	953,025,733

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

30 Loans and borrowings

	Note	Group		Company	
As at 31st March,		2021	2020	2021	2020
Non-current liabilities					
Long term loans	30.1	60,955,000	-	57,000,000	-
		60,955,000	-	57,000,000	-
Current liabilities					
Current portion of long term loans	30.1	70,620,000	-	60,000,000	-
Short term loans	30.2	643,827,528	1,474,586,446	575,819,588	1,434,594,484
		714,447,528	1,474,586,446	635,819,588	1,434,594,484

Terms and repayment schedule

The terms and conditions of outstanding loans as follows.

Group	Currency	Nominal interest rate	Term	31st March 2021		31st March 2020	
				Face value	Carrying amount	Face value	Carrying amount
Secured bank loan	LKR	AWPLR+1%	On demand	775,402,528	775,402,528	1,474,586,446	1,474,586,446
				775,402,528	775,402,528	1,474,586,446	1,474,586,446

As at 31st March,	Group		Company	
	2021	2020	2021	2020
30.1 Long term loan movement during the year				
Balance at the beginning of the year	-	-	-	-
Obtained during the year	141,000,000	-	122,000,000	-
Repayment during the year	(9,425,000)	-	(5,000,000)	-
Balance at the end of the year	131,575,000	-	117,000,000	-
Loans and borrowings included in the statement of financial position				
Current	70,620,000	-	60,000,000	-
Non-current	60,955,000	-	57,000,000	-
	131,575,000	-	117,000,000	-

As at 31st March,	Group		Company	
	2021	2020	2021	2020
30.2 Short term loan movement during the year				
Balance at the beginning of the year	1,474,586,446	983,304,092	1,434,594,484	953,044,879
Obtained during the year	2,866,111,761	2,865,761,784	2,585,550,175	2,540,996,447
Repayment during the year	(3,696,870,679)	(2,374,479,430)	(3,444,325,071)	(2,059,446,842)
Balance at the end of the year	643,827,528	1,474,586,446	575,819,588	1,434,594,484

31 Related party disclosures

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to Directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to Directors during the period under review, other than what is mentioned in Note 10

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2021.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

31 Related party disclosures Contd.

31.1 Recurrent related party transactions

The Group entered into the recurrent related party transactions for the year 2020/21 as follows:

Transactions with subsidiaries and other related parties

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to) / from as at 31/3/2021	Balance due (to) / from as at 31/3/2020
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Recovery of related party receivable	(97,400,000)		
		Crop care purchases	(14,607,411)		
		Fertilizer Sales	46,599,156		
		Dividend income	12,499,998		
		Packing material transferred	532,125		
		Expenses incurred by parent	18,337,883		
		Salaries and allowance	20,110,975		
		Set off against customer deposits	(3,154,046)	58,989,850	76,071,170
AgStar Exports (Pvt) Ltd	Subsidiaries	Funds received	4,000,000		
		Expenses incurred by parent	56,389		
		Salaries and allowance	5,767,077	11,598,604	1,775,138
AgStar Grains (Pvt) Ltd	Subsidiaries	Funds received	(3,827,685)		
		Set off against solar income	3,827,685	237,958,823	237,958,823
		Provision made	-	(88,273,000)	(88,273,000)
AgStar Properties (Pvt) Ltd	Subsidiaries	Funds transferred	72,000,000		
		Rent paid	(8,000,000)		
		Expenses incurred by parent company	437,920		
		Capital expense transfer	8,471,117		
		VAT for rent	(1,920,000)		
		Amalgamation adjustment	(285,449,069)	-	214,460,032
AgStar Seeds (Pvt) Ltd	Subsidiaries	Rent advance amortised	(16,000,000)	-	16,000,000
		Recovery of related party receivable	(25,700,000)		
		Funds transferred	60,000,000		
		Dividend income	9,999,998		
		Capital asset transfer	6,473,888		
		Expenses incurred by parent company	9,728,398		
		Salaries and allowance	11,698,658	73,341,474	1,140,532
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Expenses incurred by parent	1,976,260		
		Fund transfer	200,000		
		Salaries and allowance	7,514,578		
		Settlements of related party receivable	(14,700,000)	154,882,067	159,891,229
Prith Seeds (Pvt) Ltd	Subsidiaries	Fertilizer sales	114,840,333		
		Receipts	(70,348,408)	57,006,326	12,514,401
		Recovery of related party receivable	(13,600,000)		
		Dividend income	10,000,000		
		Salaries and allowance	5,500,331		
Euro Asia Tea (Pvt) Ltd	Subsidiaries	Expenses incurred by parent	2,376,249	6,326,723	2,050,143
Sierra Construction (Pvt) Ltd	Subsidiary of the ultimate parent company	Expenses incurred by parent	2,151,134	2,151,134	-
Sierra Construction (Pvt) Ltd	Subsidiary of the ultimate parent company	Sale of tractors and equipments	27,340,000		
		Receipts	(33,120,000)	(5,780,000)	-

- (f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.
- (g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.
- (h) Terms and Conditions for recurrent transactions with related parties

All related party transactions are carried out in the ordinary course of business and transacted at normal business terms. The sales to and purchases from related parties are made in terms of equivalent to those that prevail in arm's length transactions and comparable with those that would have been charged from unrelated companies. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

31.2 Non-recurrent related party transactions

The Company has not entered into any non-recurrent related party transactions during the year, which exceeds 10% of the equity or 5% of the total assets, whichever is lower, as per the Colombo Stock Exchange Section Listing rule 9.3.2.

32 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

The Board approved to construct an additional 83,000sq.ft. of warehousing space and 10,880 sq.ft new admin building in Ekala. The development costs of Rs. 383.9 Mn has been estimated and approved by the Board, out of which the company has incurred Rs. 372.5 Mn and committed to incur cost of Rs. 11.4 Mn in the following years. For the purpose of this new warehouse construction, company demolished part of the existing warehouse and office building during the financial year ended 31st March 2020.

Financial Commitments - Group

Documentary credit effected for foreign purchases as at 31st March 2021 Rs. 660,257,797. (2020 - Rs.398,851,614/-)

33 Contingent liabilities

There were no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

33 Contingent liabilities Contd.

33.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial Bank	48,000,000
	Overdraft	Commercial Bank	19,000,000
	Short term loan facility	Commercial Bank	60,000,000
	LC/IDL	HNB	25,000,000
	Overdraft	HNB	5,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial Bank	60,000,000
	Overdraft	Commercial Bank	19,000,000
	LC/IDL	HNB	100,000,000
	LC/IDL	DFCC	120,000,000
	LC/IDL	NDB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial Bank	10,000,000
	Short Term Loan	Commercial Bank	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000
	Short Term Loan	NDB	50,000,000

33.2 Bank Guarantees

Lanka Phosphate Limited	Commercial Bank	12,986,152
Department of Customs	Commercial Bank	187,000

34 Events occurring after the reporting date

Dividend proposed

The Directors have proposed a final dividend payment of Rs. 0.20 per share for the year ended 31st March 2021 to be approved at the Annual General Meeting.

In compliance with Sri Lanka Accounting Standard (LKAS-10) the final dividend recommended is not recognised as a liability in the financial statements as at 31st March 2021.

Change in government policy on importation of chemical fertilizers

The importation of chemical fertilizers, including mixtures and agrochemicals, has been prohibited indefinitely, according to Gazette No. 2226/48, published on May 6, 2021, with the exception of a limited number of products permitted under special license.

The gazette was issued in response to the Sri Lankan Government's policy directive to increase the use of organic fertilizer and biopesticides in agricultural activities. The Group is currently strengthening its organic fertilizer and biopesticide supply chains in order to meet demand in accordance with Government policy. Clarifications on specific aspects related to policy implementation are on the way, and the Group is working to realign strategies accordingly. Because there is currently a lack of clarity in the practical implementation of the policy direction, it would be premature to estimate any potential financial implications arising from the matter.

There are no any other material events that occurred after the reporting date that require adjustment to or disclosure in the financial statements

35 **Coronavirus (COVID-19) pandemic**

The COVID-19 outbreak, since early 2020, has brought about some uncertainties in the Group's operating environment. AgStar PLC and the subsidiaries faced minor disruptions in operations during the period under review due to travel restrictions and lockdowns imposed time to time by the government. The AgStar operation were continued with the directive by the Government to commence all agriculture related activities. Hence, the overall impact to the AgStar PLC and the subsidiaries due to COVID-19 was minimal.

Impact on the liquidity of the Company

COVID-19 pandemic has negatively impacted the liquidity position of the Company due to the delays in payments of subsidy receivables from the Government. However, the Company has a positive net current-asset position as at March 31, 2021 with a current ratio of 1.37 (current assets/current liabilities). These assets will satisfy short-term working capital requirements of the Company, if need arises, without the need to draw additional borrowings.

Impact on trade and other receivables

The fertilizer subsidy overdue from the Government has been further delayed due to the pandemic and the overdue amount now stands at Rs. 1.7 billion. This delay in payment has severely impacted the cash flows of the Company since approximately 70% of the cash inflows of the Company is from subsidy. However, the management is confident that the Company will receive the total balance over time.

The Company's trade receivables consist of customers in the industry of Agriculture related activities. Therefore, the customers of the Company too are not significantly impacted by the prevailing pandemic unlike most businesses in the country as well as globally.

Impact on fair value measurement of non-financial assets including assets held for sale

For the fair value measurement of lands, buildings and machinery (including assets held for sale), the Group uses data that is not readily observable in current markets. This requires the exercise of additional management judgements to determine the fair value of assets depending on the significance of the unobservable input to the overall valuation. Based on the current circumstances, there is inadequate information to ascertain the total impact COVID-19 would have on the real estate sector as the pandemic condition continues to evolve. However, all the readily available information in the market have been taken into account for determining the fair value of the properties as at the reporting date by the Property Valuer.

Impact on Goodwill and Exclusive Dealership

The Goodwill associated with the acquisition of Prith Seeds (Pvt) Ltd and the exclusive dealership acquired by AgStar Seeds (Pvt) Ltd, which are involved in agriculture related businesses. Therefore the Goodwill and exclusive dealership are not impacted by the current pandemic due to uninterrupted operations of the agriculture sector.

36 **Comparative information**

The comparative information has been reclassified according to the current year classification wherever necessary to ensure comparability and better presentation.

37 **Financial instruments**

- (a) The following tables shows the carrying amounts of financial assets and financial liabilities. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

37 Financial instruments Contd.

37.1 Accounting classification and fair value - Company

	Note	Financial assets at amortised cost Rs.	Other financial liabilities Rs.	Total carrying amount Rs.
As at 31st March 2021				
Financial assets not measured at fair value				
Trade and other receivables *	21	4,168,033,021	-	4,168,033,021
Amounts due from related companies	22	456,975,675	-	456,975,675
Cash and cash equivalents	23	343,907,697	-	343,907,697
		4,968,916,393	-	4,968,916,393
Financial liabilities not measured at fair value				
Trade and other payables	29	-	3,265,010,733	3,265,010,733
Loans and borrowings	30	-	692,819,588	692,819,588
Bank overdraft	23	-	1,802,342	1,802,342
		-	3,959,632,663	3,959,632,663
As at 31st March 2020				
Financial assets not measured at fair value				
Trade and other receivables *	21	3,022,616,106	-	3,022,616,106
Amounts due from related companies	22	605,074,067	-	605,074,067
Cash and cash equivalents	23	45,412,064	-	45,412,064
		3,673,102,237	-	3,673,102,237
Financial liabilities not measured at fair value				
Trade and other payables **	29	-	950,040,733	950,040,733
Loans and borrowings	30	-	1,434,594,484	1,434,594,484
Bank overdraft	23	-	25,022,842	25,022,842
		-	2,409,658,059	2,409,658,059

* Tax recoverable, deposits and prepayments, prepayments to suppliers and advances amounting to Rs. 84,315,145 (2020 - Rs. 34,405,458) have been excluded as they are not financial instruments

** Advances amounting to Rs. 2,985,000 has been excluded as it is not a financial instruments

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

37.2 Accounting classification and fair value - Group

Trade and other receivables and trade and other payables classified as held for sales are not included in the table below. Their carrying amount is a reasonable approximation of fair value.

	Note	Financial assets at amortised cost Rs.	Other financial liabilities Rs.	Total carrying amount Rs.
As at 31st March 2021				
Financial assets not measured at fair value				
Trade and other receivables*	20	4,266,144,250	-	4,266,144,250
Cash and cash equivalents	23	429,218,200	-	429,218,200
		4,695,362,450	-	4,695,362,450
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	3,561,431,322	3,561,431,322
Loans and borrowings	30	-	775,402,528	775,402,528
Bank overdraft	23	-	24,098,378	24,098,378
		-	4,360,932,228	4,360,932,228
As at 31st March 2020				
Financial assets not measured at fair value				
Trade and other receivables*	20	3,114,478,732	-	3,114,478,732
Cash and cash equivalents	23	84,715,595	-	84,715,595
		3,199,194,327	-	3,199,194,327
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	985,980,885	985,980,885
Loans and borrowings	30	-	1,474,586,446	1,474,586,446
Bank overdraft	23	-	31,890,131	31,890,131
			2,492,457,462	2,492,457,462

* Tax recoverable, other receivables, deposits and prepayments to suppliers and advances amounting to Rs. 150,439,464 (2020 - Rs. 97,138,577) have been excluded as they are not financial instruments

** Advances amounting to Rs. 2,114,759 (2020 - Rs. 4,327,245) has been excluded as it is not a financial instruments

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

38 Financial risk management objectives and policies

The Group has exposure to the following risk arising from financial instruments

- Liquidity risk
- Credit risk
- Market risk

Risk management framework

The Company's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Group is responsible for develop and monitor the group's risk management policies. The Group risk management policies are established to identify and analysis the risk faced by the Group, to set appropriate risk limits and controls and monitor risks and adherence to limits.

Risk management policies and system are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain disciplined and constructive controls environment in which all employees understand their roles and obligations.

The Group audit committee overseas how management, monitors compliance with the Group's risk management policies and procedures, and review the adequacy of the risk management framework in relation to the risks faced by the Group.

38.1 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meets its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damages to the Group's reputation.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted except for loans and borrowings which is presented at discounted cash flows.

	As at 31st March 2021					
Group	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	3,561,431,322	3,561,431,322	-	-	-	3,561,431,322
Loans and borrowings	775,402,528	661,482,528	17,655,000	35,310,000	60,955,000	775,402,528
Lease liabilities	6,678,074	-	-	569,700	21,523,080	22,092,780
Bank overdraft	24,098,378	24,098,378	-	-	-	24,098,378
	4,367,610,302	4,247,012,228	17,655,000	35,879,700	82,478,080	4,383,025,008

	As at 31st March 2020					
Group	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	985,980,885	985,980,885	-	-	-	985,980,885
Loans and borrowings	1,474,586,446	1,434,594,484	-	-	-	1,434,594,484
Lease liabilities	2,788,417	-	-	1,100,000	10,332,675	11,432,675
Bank overdraft	31,890,131	31,890,131	-	-	-	31,890,131
	2,495,245,879	2,452,465,500	-	1,100,000	10,332,675	2,463,898,175

	As at 31st March 2021					
Company	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	3,265,010,733	3,265,010,733	-	-		3,265,010,733
Amounts due to related companies	456,975,675	456,975,675	-	-		456,975,675
Loans and borrowings	692,819,588	590,819,588	15,000,000	30,000,000	57,000,000	692,819,588
Lease liabilities	2,005,872	-	-	262,500	10,070,175	10,332,675
Bank overdraft	1,802,342	1,802,342	-	-	-	1,802,342
	4,418,614,210	4,314,608,338	15,000,000	30,262,500	67,070,175	4,426,941,013

	As at 31st March 2020					
Company	Carrying value	Less than 3 months	3 - 6 months	6 - 12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	950,040,733	950,040,733	-	-	-	950,040,733
Amounts due to related companies	605,074,067	605,074,067	-	-	-	605,074,067
Loans and borrowings	1,434,594,484	1,434,594,484	-	-	-	1,434,594,484
Lease liabilities	2,225,177	-	-	500,000	10,332,675	10,832,675
Bank overdraft	25,022,842	25,022,842	-	-	-	25,022,842
	3,016,957,303	3,014,732,126	-	500,000	10,332,675	3,025,564,801

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

38 Financial risk management objectives and policies Contd.

38.2 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet the its contractual obligations, and arise principally from the Group's receivable from customers.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

The carrying amount of financial assets represents the maximum credit exposure. Impairment losses on financial assets recognized in profit and loss were as follows,

As at 31st March,	Group		Company	
	2021	2020	2021	2020
Impairment loss on trade receivables	(366,195)	(14,221,591)	(4,162,789)	(19,426,037)

The Group's exposure to credit risk influenced mainly by the individual characteristics of each customer. However, management also consider the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customer operate.

The Group limits its exposure to credit risk from trade receivable by establishing a maximum period of one and two months for customers. The Group does not require collateral in respect of trade and other receivables. The Group does not have trade receivables for which no loss allowance is recognized because of collateral

Cash and cash equivalents

The Group held cash and cash equivalents of Rs. 429 Mn (2020 - 84 Mn) at 31 March 2021 which represents its maximum credit exposure on these assets. The cash and cash equivalent are held with bank and financial institutions counter-parties, which are rated CCC(lka) to A+(lka) based on fitch ratings.

Details of the counter parties in which the Group has short term deposits are as follows,

Bank	Rating	Amount Rs.
People's Bank	AA-(lka)	29,228,296
Hatton National Bank PLC	AA-(lka)	15,618,813
Sampath Bank PLC	AA-(lka)	18,617,582
		63,464,691

(a) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

As at 31st March,	Note	Group		Company	
		2021	2020	2021	2020
Trade and other receivables *	21	4,266,144,250	3,114,478,732	4,168,033,021	3,022,616,106
Amounts due from related companies	22	-	-	456,975,675	605,074,067
Cash and cash equivalents	23	429,218,200	84,715,595	343,907,697	45,412,064
		4,695,362,450	3,199,194,327	4,968,916,393	3,673,102,237
The ageing of trade receivables as at the reporting date were as:					
Not past due		132,247,928	72,403,418	101,180,577	47,564,986
Past due 1-60 days		27,413,670	54,267,613	22,945,156	32,334,681
Past due 61-120 days		30,173,258	38,082,555	204,759	9,849,552
Past due 121-240 days		23,800,866	21,071,404	1,825,277	18,617,146
Past due 241-360 days		1,112,644	8,988,262	-	6,953,027
Past due more than 360 days		92,971,553	118,170,763	42,250,484	55,886,573
Gross receivable		307,719,919	312,984,015	168,406,253	171,205,965
Impairment of trade receivables	21.3	(70,739,835)	(83,620,169)	(29,439,360)	(33,602,149)
		236,980,084	229,363,846	138,966,893	137,603,816

* Tax recoverable, other receivable, deposit and prepayments, prepayment to suppliers and advances of the Company and Group amounting to Rs. 84,315,145 (2020 - Rs. 34,405,458) and Rs. 150,439,464 (2020 - Rs. 97,138,577) respectively have been excluded as they are not financial instruments.

38.3 Market risk

Market risk is the risk that changes in market prices will affect the Group's income or the value of its holding financial instruments. The objective of mark risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return. The Group uses derivative to manage market risks. All such transactions are carried out within the guidance set by the Group.

Market risk comprise of the following types of risk:

- (a) Currency risk
- (b) Interest rate risk
- (c) Equity price risk

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in Sri Lankan Rupees)

38 Financial risk management objectives and policies Contd.

38.3 Market risk Contd.

(a) Currency risk

The Group is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowing are denominated and the respective functional currencies of Group companies. The functional currencies of Group companies are primarily LKR. The currencies in which these transactions are primarily denominated is US dollar.

Exposure to currency risk

The following significant exchange rates has been applied,

	Highest Level		Lowest Level		Year end rate	
	Carrying Buying	Less than 3 Selling	3 - 6 Buying	6 -12 Selling	More than Buying	Total Selling
USD/LKR	197.62	202.04	180.77	185.04	197.62	202.04

Balance as at 31st March

	2021
Total outstanding receivables in USD	19,993,973
Total outstanding payable in USD	15,849,419

Sensitivity analysis

A reasonably possible strengthening (Weakening) of the LKR against US dollar against at 31st March 2021 would have affected the measurement of financial instruments denominated by foreign currency and affected profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates, remain constant.

	As at 31st March 2021		As at 31st March 2020	
	Strengthening profit/loss	Weakening profit/loss	Strengthening profit/loss	Weakening profit/loss
USD to LKR (1 LKR movement)	(4,144,554)	4,144,554	(10,829,389)	10,829,389

(b) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument fluctuate because of changes in market interest rates. The Groups exposure to the risk of changes in market interest rates relates primarily to the Group's long term debt obligation. The Group utilizes various financial instruments to manage exposures to interest rate risks.

At the reporting date, the Group's interest-bearing financial instruments were as follows:

Variable rate instruments	Group		Company	
	2021	2020	2021	2020
Long term loans	131,575,000	-	117,000,000	-
Import demand loans	643,827,528	1,474,586,446	575,819,588	1,474,586,446
Bank overdraft	24,098,378	31,890,131	1,802,342	25,022,847

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

(b) Interest rate risk Contd.

Significant movement in interest rates during the year ended 31st March 2021

	Highest Level		Lowest Level		Spread	Year-end rate
	Rate	Date	Rate	Date		
LKR Interest rate *	7.4%	Apr-2020	4.13%	Oct-2020	3.27%	5.11%

*One year Government Treasury bill rate

Sensitivity analysis

Year	Increase/ decrease in base point	Group Effect on profit before tax	Company Effect on profit before tax
2021	+100	(7,754,025)	(6,928,196)
	-100	7,754,025	6,928,196
2020	+100	(14,745,864)	(14,345,945)
	-100	14,745,864	14,345,945

(c) Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

DECADE AT A GLANCE

(All amounts in Sri Lankan Rupees)

31st March	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Rs.'000										
OPERATING RESULTS										
Group Revenue	3,611,145	1,734,841	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717	1,757,847	1,805,149
Net Finance Expense	(34,880)	(54,327)	(6,307)	(34,790)	(38,460)	2,912	(110,695)	(230,675)	(100,275)	(54,396)
Profit Before Tax	576,453	205,496	321,024	156,039	244,104	363,440	332,676	58,399	287,031	289,452
Tax Expense	(84,078)	(63,977)	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)	(28,785)	(69,482)	(79,211)
Profit After Tax (Continuing Operations)	492,375	141,519	245,219	90,308	167,387	237,417	212,975	29,614	217,549	210,241
Profit After Tax (Discontinued Operations)	(17,244)	(3,530)	(18,850)	(63,717)	(189,853)	(290,293)	-	-	-	-
Attributable To:										
Equity Holders of the parent	476,259	137,989	226,369	26,591	(22,466)	(52,876)	217,681	43,094	217,552	210,241
Non-Controlling Interest	(1,128)	-	-	-	-	-	(5,088)	(13,480)	(3)	-
	475,131	137,989	226,369	26,591	(22,466)	(52,876)	212,593	29,614	217,549	210,241
FINANCIAL POSITION										
Stated Capital	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094
Reserves	2,441,833	1,820,564	1,681,855	1,430,353	1,198,298	1,283,362	1,316,551	875,680	868,234	619,219
	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328	1,823,313
Non-Controlling Interest	42,698	-	-	-	-	-	-	21,117	34,597	-
Net Assets	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328	1,823,313
Non-Current Liabilities	448,483	379,366	286,998	191,621	66,436	178,314	229,502	288,566	276,105	206,130
	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443
Represented By:										
Property Plant & Equipment (PPE)	2,403,080	1,650,869	1,527,367	1,417,703	1,029,492	1,041,158	929,074	1,212,319	948,891	228,424
Non-Current Assets (Excluding PPE)	126,952	79,595	56,626	57,205	212,451	150,056	76,687	5,849	5,696	96
- Current Assets	5,919,747	4,178,890	3,765,141	3,483,081	3,140,495	4,292,951	4,367,607	3,351,805	3,445,393	3,922,160
- Current Liabilities	(4,312,671)	(2,505,330)	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)	(2,016,950)	(2,121,237)
Net Current Assets	1,607,076	1,673,560	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289	1,428,443	1,800,923
	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443
KEY INDICATORS										
Annual Revenue growth (%)	108.15	(29.99)	(25.29)	19.11	61.10	(17.68)	21.69	(1.83)	(2.62)	(38.15)
Basic earnings per share (Rs.)	1.47	0.42	0.70	0.08	(0.07)	(0.16)	0.67	0.13	0.67	0.74
Net Profit to net revenue (%)	13.16	7.95	9.13	0.80	(0.81)	(3.06)	10.14	1.70	12.38	11.65
Dividend per share - proposed (Rs.)	0.20	-	0.20	0.10	-	0.20	0.20	0.10	0.10	0.05
Return on Equity (%)	13.06	4.56	7.84	0.95	(0.94)	(2.13)	8.45	1.40	10.33	11.53
Net Assets per share (Rs.)	11.22	9.31	8.88	8.59	7.39	7.65	7.76	6.46	6.48	5.61
Gearing ratio (Times)	-	-	-	-	0.15	0.42	0.27	0.64	0.34	0.54
Current ratio (Times)	1.37	1.67	1.73	1.63	1.64	1.52	1.66	1.54	1.71	1.85

NOTICE OF THE VIRTUAL 19TH ANNUAL GENERAL MEETING

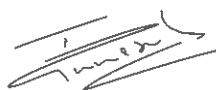
NOTICE IS HEREBY GIVEN that the Virtual Nineteenth (19th) Annual General Meeting of AGSTAR PLC (the Company) will be held on 15 July 2021, at 10.00 am via Microsoft Team at No. 09, Bawa Place, Colombo 08 for the following purposes;

Agenda

1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2021 and the Report of the Auditors thereon.
2. To declare a final dividend at Rs. 0.20 per share for the year 2020/2021 as recommended by the Directors.
3. To re-elect Mr. D. S. K. Amarasekera who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers himself for re-election.

4. To re-elect Mrs. S. N. Wickramasinghe who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers herself for re-election.
5. To re-appoint Messrs. KPMG, Chartered Accountants as the Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration.

BY ORDER OF THE BOARD OF DIRECTORS OF
AGSTAR PLC



**P.R. SECRETARIAL SERVICES (PRIVATE)
LIMITED**
Secretaries

At Colombo, this 02 June 2021.

Note:

- A shareholder entitled to attend and vote at the virtual meeting, is entitled to appoint a Proxy to attend and vote instead of him/her.
- A Proxy need not be a shareholder of the Company.
- A Form of Proxy accompanies this notice
- The completed Form of Proxy must be forwarded via e mail to info@prsslk.com or deposited at No.59, Srimath R.G. Senanayake Mawatha, Colombo 07 not less than forty-eight (48) hours before the time appointed for holding of the meeting.
- The shareholder and/or Proxy holders are kindly advised to have their National Identity Card or similar for of acceptance identity when attending the meeting.

NOTES

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FORM OF PROXY

VIRTUAL 19TH ANNUAL GENERAL MEETING

I/We

of being a Member/Member* of the above named Company, hereby appoint

(1) of failing him/her.

(2) Mr. D. N. N. Lokuge or failing him

(3) Mr. A. P. Weerasekera or failing him

(4) Mr. W. A. P. Perera or failing him

(5) Mr. D. S. K. Amarasekera or failing him

(6) Mrs. S.N. Wickramasinghe or failing her

(7) Dr. (Mrs.) A. D. N. De Zoysa or failing her

(8) Mr. R. K. A. Ranaweera

As my / our* Proxy to represent me / us* and vote and speak for me / us* on my / our* behalf at the Virtual Nineteenth (19th) Annual General Meeting of the Agstar PLC to be held on 15 July 2021, at 10.00 am via Microsoft Teams at No.09, Bawa Place, Colombo 08 and at every poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

I/WE INDICATE MY/OUR VOTE ON THE RESOLUTIONS BELOW AS FOLLOWS;

	For	Against
1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2021 and the Report of the Auditors thereon.	☐	☐
2. To declare a final dividend at Rs. 0.20 per share for the year 2020/2021 as recommended by the Directors.	☐	☐
3. To re-elect Mr. D. S. K. Amarasekera who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers himself for re-election	☐	☐
4. To re-elect Mrs. S. N. Wickramasinghe who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offers herself for re-election.	☐	☐
5. To re-appoint Messrs KPMG, Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration	☐	☐

Signed this day of 2021.

.....
Signature of shareholder

FORM OF PROXY VIRTUAL 19TH ANNUAL GENERAL MEETING

Instructions as to completion

1. Kindly perfect the Form of Proxy by filing in legibly your Full name, National Identity Card/ Passport/ Company Registration Number, your address and your instructions as to voting and by signing in the space provided and filing in the date of signature. Please ensure that all details are legible.
2. Please mark "X" in appropriate cages, to indicate your instructions as to voting on each resolution. If no indication is given, the Proxy holder in his/ her discretion will vote as he/her thinks fit.
3. To be valid, the completed Form of Proxy must be forwarded via e mail to info@prsslk.com or deposited at P.R. Secretarial Services (Pvt) Ltd , No. 59, Srimath R. G. Senanayake Mawatha, Colombo 07, Sri Lanka on not less than 48 hours before the time appointed for the holding of the meeting to ensure that the proxies reaches the Company's Registrars before the date of the AGM. No registration of proxies shall be accommodated after the deadline.
4. If you wish to appoint a person other than the Chairman (or failing him, one of the Directors) as your Proxy, please insert the relevant details (1) overleaf and initial against this entry.
5. In the case of a Company/Corporation, the Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by Articles of Association/ Act of Incorporation.
6. In the case of a Proxy signed by an Attorney, a certified copy of the Power of Attorney should accompany the completed Form of Proxy for registration, if such Power of Attorney has not already been registered with the Company.

CORPORATE INFORMATION

The Company

AgStar PLC

Legal Form

A public Quoted Company incorporated in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC

09, Bawa Place, Colombo 08

Tel: +94 11 4812424, +94 11 7708040-3

Fax: +94 11 4810706

E-mail: info@agstaragri.com

Website: www.agstaragri.lk

Board of Directors

Mr. D. N. N. Lokuge

- *Chairman/ Non Executive Director*

Mr. A. P. Weerasekera

- *Managing Director*

Mr. D. S. K. Amarasekera

- *Non Executive Director*

Mr. W. A. P. Perera

- *Non Executive Director*

Mr. R. K. Athula Ranaweera

- *Independent Non Executive Director*

Dr. (Mrs) A. D. N. de Zoysa

- *Independent Non Executive Director*

Ms. S. Wickramasinghe

- *Independent Non Executive Director*

Audit Committee

Mr R.K.Athula Ranaweera - (*Chairman*)

Dr (Mrs) A.D.N.de Zoysa

Ms S.Wickramasinghe

Remuneration Committee

Mr D.N.N.Lokuge - (*Chairman*)

Mr R.K.Athula Ranaweera

Ms S.Wickramasinghe

Related Party Transactions Review Committee

Ms S.Wickramasinghe - (*Chairperson*)

Dr (Mrs) A.D.N.de Zoysa

Mr R.K.Athula Ranaweera

Subsidiaries

AgStar Seeds (Pvt) Limited

AgStar Cropcare (Pvt) Limited

AgStar Grains (Pvt) Limited

Mahaweli Agro Trading (Pvt) Limited

AgStar Exports (Pvt) Limited

Prith Seeds (Pvt) Limited

Royal Seeds Pvt) Limited

Euro Asia Tea (Pvt) Limited

Secretaries

P R Secretarial Services (Pvt) Ltd

59, Gregory's Road, Colombo 07

Registrars

SSP Corporate Services (Private) Limited

101, Inner Flower Road, Colombo 03

Auditors

KPMG

P O Box 186

32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Vardhana Bank PLC

Hatton National Bank PLC

MCB Bank Limited

Nation Trust Bank PLC

NDB Bank PLC

Peoples' Bank

Public Bank

Sampath Bank PLC

Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates

59, Gregory's Road, Colombo 07

Sudath Perera Associates

5, 9th Lane, Nawala Road, Nawala

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